

Auditing & Ethics

CA Intermediate — Short Revision Notes

12 chapters · Saikumar Kaleru

Contents

1. Nature, Objective & Scope of Audit
2. Chapter 02 — Audit Strategy, Planning & Materiality (Revision)
3. Risk Assessment & Internal Control — Revision Note
4. Chapter 04 — Audit Evidence (Revision Note)
5. Audit Sampling & Analytical Procedures
6. Audit of Items of Financial Statements
7. Chapter 07 — Audit in an Automated Environment (Revision)
8. Chapter 08 — Company Audit (Companies Act 2013, Sec 139–148)
9. Chapter 09 — Audit Report & Opinions (Revision Note)
10. Chapter 10 — Audit Documentation & Quality Control (Revision Note)
11. Chapter 11 — Professional Ethics & Independence (Revision)
12. Chapter 12 — Audit of Different Entities (Revision)

Nature, Objective & Scope of Audit

Snapshot

Owners supply capital; managers control it and self-report performance — a trust gap born of the agency problem, information asymmetry and stewardship. Audit inserts an independent, competent third party to examine the financial statements and express an opinion, giving reasonable (not absolute) assurance that they are true and fair.

Core concepts

- **Why audit exists:** Agency problem (agent acts in own interest) + Information asymmetry (manager knows more) + Stewardship (must prove faithful custody) → trust gap → need independent assurance.
- **Users served (public-interest activity):** existing shareholders, prospective investors, lenders/banks, trade creditors, employees/unions, government & tax authorities, regulators (SEBI, RBI), public/customers. Auditor appointed by members but effectively serves a wider unnamed body of users.
- **The payer paradox:** the audited entity proposes, pays and fixes fee — "accused hires the judge." Law breaks the link: appointment by members in general meeting (Sec 139); removal before term needs special resolution + Central Government approval (Sec 140); remuneration fixed by members (Sec 142); scope set by statute + SAs (management cannot shrink it).
- **Definition (ICAI / SA 200):** An audit is the independent examination of financial information of any entity — profit-oriented or not, irrespective of size or legal form — conducted with a view to expressing an opinion thereon.
- **Audit is NOT:** (1) preparation of accounts (management prepares; auditor who writes books faces self-review threat); (2) a guarantee of accuracy; (3) assurance of future viability or management efficiency; (4) an investigation; (5) accountancy ("accounting ends where auditing begins").

Audit vs Investigation: Audit = express opinion on true & fair, general scope, governed by SAs/statute, materiality applies, one year, persuasive/sampled evidence, recurring. Investigation = establish a specific fact, limited/deep scope, governed by terms of engagement, materiality often ignored, may span years, conclusive/often 100% checking, one-off. Mnemonic: audit is broad and shallow with an opinion; investigation is narrow and deep with a conclusion.

Assurance engagement — 5 elements: (1) three-party relationship (practitioner, responsible party, intended users); (2) appropriate subject matter; (3) suitable criteria (applicable financial reporting framework — AS/Ind AS + Companies Act); (4) sufficient appropriate evidence; (5) written assurance report. Missing any element → not an assurance engagement (agreed-upon procedures & compilation are non-assurance).

Assurance grades:

Type	Level	Wording	Example
Reasonable	High, not absolute	Positive ("in our opinion... true and fair")	Statutory audit
Limited	Moderate, lower	Negative ("nothing has come to our attention...")	Review (SRE 2400/2410)

Why not absolute — inherent limitations (SA 200): (1) nature of financial reporting — estimates/judgement, no single true number; (2) nature of audit evidence — persuasive not conclusive, sampling not 100%; (3) fraud — collusion, forged documents, management override designed to defeat procedures; (4) timeliness & cost — forces sampling and materiality judgement; (5) other areas — related parties, non-compliance with laws hard to detect. Inherent limitations are NOT a defence for negligence — they shield only a properly conducted, skeptical, documented audit. Subsequent discovery of misstatement does not by itself prove the audit was deficient (SA 200).

Audit risk model: $AR = IR \times CR \times DR$. Inherent Risk (susceptibility before controls) and Control Risk (controls fail) are the entity's risks — auditor only assesses. Detection Risk (auditor's own procedures fail) is the only leg the auditor controls; set DR inversely to $IR \times CR$ → more/better evidence where risk is higher. Reasonable assurance = drive AR to acceptably low, not zero.

Management assertions (SA 315):

- Transactions/events (P&L): Occurrence, Completeness, Accuracy, Cut-off, Classification.
- Account balances (BS): Existence, Rights & obligations, Completeness, Valuation & allocation.
- Presentation & disclosure: occurrence & rights/obligations, completeness, classification & understandability, accuracy & valuation.
- **Directional testing:** assets/income tend to be OVERSTATED → test Existence/Occurrence (vouch: entry back to evidence). Liabilities/expenses tend to be UNDERSTATED → test Completeness (trace: source forward into records; search for unrecorded liabilities). Debtors → existence/valuation; Creditors → completeness.

True and fair (Sec 143(2)): True = factually accurate, conforms to reality and framework, no material misstatement. Fair = presented/disclosed without bias, clear, not misleading, substance over form. Chosen over "true and correct" because estimates make arithmetical exactness impossible. Auditor's anchors: books kept per law + framework followed/departures disclosed; no material misstatement, no window dressing or secret reserves; assets/liabilities correctly valued & classified; material/unusual items and post-balance-sheet events disclosed; statutory disclosures (Schedule III) complied. Polices BOTH overstatement (window dressing) and understatement (secret reserves).

Key provisions / SAs

Pronouncement hierarchy: SQC 1 (firm-level quality control) → Engagement Standards: SA (audits of historical financial info), SRE (review, limited assurance), SAE (assurance other than audit/review), SRS (related services — agreed-upon procedures/compilation, non-assurance). Guidance Notes = recommendatory (explain departure). SAs are mandatory; departure from a relevant requirement allowed only in exceptional cases with alternative procedures achieving the aim + documented reasons.

SA / Section	Requirement
SA 200	Overall objectives: obtain reasonable assurance FS as a whole are free from material misstatement (fraud or error) → express opinion per applicable framework; and report. Where reasonable assurance impossible and qualified opinion insufficient → disclaim or withdraw. Requires professional skepticism, professional judgement, ethical requirements incl. independence
SA 210	Agreeing terms of engagement (engagement letter)
SA 220	Quality control for an audit
SA 230	Documentation — sufficient for an experienced auditor with no prior connection to understand nature/timing/extent, results/evidence, significant matters/conclusions/judgements
SA 240	Auditor's responsibilities relating to fraud
SA 250	Consideration of laws & regulations
SA 260 / 265	Communication with those charged with governance / control deficiencies
SA 300	Planning
SA 315	Identifying & assessing risk via understanding the entity; assertions
SA 320	Materiality
SA 330	Responses to assessed risks
SA 402 / 450	Service organisations / evaluating misstatements
SA 500	Audit evidence (sufficient appropriate)
SA 501	Specific items — inventory, litigation
SA 505	External confirmations
SA 510 / 520 / 530	Opening balances / analytical procedures / sampling

SA / Section	Requirement
SA 540 / 550 / 560	Estimates / related parties / subsequent events
SA 570	Going concern
SA 580	Written representations
SA 600 / 610 / 620	Using another auditor / internal auditors / auditor's expert
SA 700	Forming opinion & reporting
SA 701 / 705 / 706	Key audit matters / modifications / emphasis of matter & other matter
SA 710 / 720	Comparatives / other information
SA 800 / 805 / 810	Special-purpose frameworks / single statements / summary financials

Companies Act anchors: Sec 138 (internal audit) · 139 (appointment/rotation) · 140 (removal/resignation) · 141 (eligibility/disqualification) · 142 (remuneration) · 143 (powers, duties, reporting — true & fair u/s 143(2), IFC u/s 143(3)(i)) · 144 (prohibited services). CARO reporting also part of company audit scope.

Objective wording (SA 200): "free from MATERIAL misstatement" (materiality SA 320 filters — influences users' economic decisions) · "whether due to fraud OR error" (both; SA 240) · "true and fair view."

Error vs Fraud: Error = unintentional (arithmetic mistake, wrong estimate in good faith), easier to detect, ordinary procedures. Fraud = intentional, harder (concealed), heightened skepticism + SA 240 duties. Fraud = (a) fraudulent financial reporting (usually management, cook statements) and (b) misappropriation of assets (usually employees, theft, smaller).

Responsibility split: prevention & detection of fraud/error = MANAGEMENT and those charged with governance (via internal control); auditor = obtain reasonable assurance about MATERIAL misstatement whether from fraud or error. Auditor is NOT responsible for preventing fraud or detecting all fraud.

Scope determined by: applicable financial reporting framework + relevant SAs + terms of engagement/statutory requirements. Organised to cover all relevant aspects; assess reliability & sufficiency of information & disclosure; use judgement; NOT restrictable by management (limitation → modified opinion SA 705); not a guarantee of viability or efficiency.

- Management-imposed limitation (refuses debtor confirmations/stock count): try alternatives; if material & pervasive → withdraw if legally possible, else disclaim (treated most severely — hints at concealment).
- Circumstance-imposed (appointed after year-end, records destroyed): try alternatives; if unavailable → qualify or disclaim per materiality/pervasiveness; no bad faith implied.

Opinion outcomes (material AND pervasive both decide): clean/unmodified (no problem, SA 700) · qualified "except for" (material, not pervasive) · disclaimer (scope limitation, material + pervasive) · adverse (disagreement, material + pervasive). Logic: evidence problem + pervasive = disclaimer; disagreement + pervasive = adverse; either if only material = qualified; neither = clean.

Types of audit: By law — statutory (Companies Act, Banking Regulation Act, tax audit u/s 44AB; scope/removal not curtailable by agreement) vs voluntary/non-statutory (scope by contract). By subject — financial, cost, management/operational, internal, government (C&AG), tax, special/forensic. By coverage — continuous, periodic/final, interim, balance-sheet.

- **Continuous audit** — Advantages: early error/fraud detection, moral check, quick finalisation, deep familiarity, even workload. Disadvantages: figures checked may be altered afterwards (central risk), audit trail disturbed, staff dependence, mechanical approach, collusion risk. Safeguards: secret ticks/markings, note important balances in audit notebook, instruct that checked figures not be altered.

Statutory (external) vs Internal audit: External — opinion on true & fair to owners/third parties, appointed by shareholders, reports to members, governed by Companies Act (139–147) + SAs, independent, scope not restrictable, mandatory for every company. Internal — improve operations/controls/risk for management, appointed by management/board/audit committee, reports to management, governed by Sec 138 + SIA, part of entity, scope set by management, mandatory only for prescribed classes.

- External auditor may use internal audit's work under **SA 610** only after evaluating competence, objectivity, systematic approach; retains sole/undivided responsibility; makes all significant judgements himself; the higher the risk/judgement, the less he can rely; cannot use it at all if objectivity/competence inadequate. "Use, but never abdicate."

Ethics (ICAI Code / IESBA): Integrity · Objectivity · Professional competence & due care · Confidentiality · Professional behaviour. Crowned by **Independence** — of mind (actual unbiased state) + in appearance (reasonable third party's view). Protected by Sec 141 (disqualification), 144 (non-audit services), 139 (rotation), 140 (tenure/removal).

- **Five threats:** Self-interest (shares/loan/overdue fee), Self-review (audit own earlier work/valuation), Advocacy (promoting client's position/litigation), Familiarity (relative in finance role, long association), Intimidation (threat of removal/litigation). Method: identify → evaluate significance → apply safeguards → if none suffice, decline/withdraw.

Two mandatory mindsets (SA 200): Professional skepticism — questioning mind, neutral (neither assume honesty nor dishonesty), critical assessment of evidence; "watchdog, not a bloodhound" (Kingston Cotton Mills) now raised by SA 240's active fraud duties; weigh evidence reliability by source (external > internal), nature (documentary > oral, original > photocopy), circumstances. Professional judgement — applying training/knowledge/experience to materiality, risk, procedures, evidence.

Exam traps & must-remember

1. Audit "certifies/guarantees" accounts — **WRONG:** expresses an opinion, reasonable assurance. Watch words certify/guarantee/absolute/correct.
2. Confusing reasonable (high, positive) with limited (moderate, negative) assurance — instant mark loss.
3. Absolute assurance is "expensive but possible" — **WRONG:** inherently unattainable (estimates, persuasive evidence, concealed fraud).
4. "Management can limit scope" — **WRONG:** set by law + SAs; limitation → modified opinion.
5. True and fair = arithmetically accurate — **WRONG:** fairly presented within framework; polices window dressing AND secret reserves.
6. Internal vs statutory audit — check who appoints, reports to, and scope control; SA 610 does not reduce statutory auditor's responsibility.
7. "Audit guarantees company won't fail / is well managed" — **WRONG:** going concern (SA 570) is about basis and disclosure, not viability; efficiency is management/operational audit.
8. Forgetting "whether due to fraud OR error" — objectives cover both.
9. Independence treated as optional/ethics-only — it is structural and legally enforced; analyse via the five threats.
10. Listing SAs with wrong numbers — state principle and flag "confirm exact SA number."
11. "Auditor responsible for detecting all fraud" — **WRONG:** prevention/detection = management; auditor = reasonable assurance re material misstatement.
12. Materiality is only about size — **WRONG:** a tiny amount is qualitatively material if it flips profit/loss, breaches a covenant, or involves fraud/related parties/statutory disclosure.
13. Jumping to "qualify" for every scope limitation — first ask source (management vs circumstance) and attempt alternative procedures; qualification/disclaimer is last resort.
14. Mixing pronouncements — SA = audit, SRE = review, SAE = other assurance, SRS = related/non-assurance, SQC 1 = firm-level quality.
15. Confusing audit with investigation — audit general/materiality-bounded/opinion vs investigation specific/100% check/conclusion.

One-line recall

- Owners can't verify managers → independent expert gives reasonable (not absolute) assurance that FS are true and fair — an opinion, not a guarantee.
- SA 200: reasonable assurance FS free from material misstatement (fraud or error) + report; prevention/detection = management, reasonable assurance = auditor.
- $AR = IR \times CR \times DR$; auditor controls only DR, set inversely to $IR \times CR$.
- Directional testing: assets/income → existence (overstatement); liabilities/expenses → completeness (understatement).
- Scope not restrictable by management; opinion = clean / qualified (material not pervasive) / disclaimer (scope limit, material+pervasive) / adverse (disagreement, material+pervasive).
- Five independence threats: self-interest, self-review, advocacy, familiarity, intimidation → identify, evaluate, safeguard, else decline.

Chapter 02 — Audit Strategy, Planning & Materiality (Revision)

Snapshot

Auditor cannot and should not check everything: finite resources (scarcity) plus not-every-error-matters (relevance). Solution: aim scarce effort at the intersection of LARGE amounts (materiality) and RISKY amounts (risk). Core quartet: SA 315 (find risks) → SA 320 (size threshold) → SA 300 (aim effort/plan) → SA 330 (respond); SA 450 measures found misstatements at completion.

Core concepts

- **Reasonable, not absolute, assurance** — high but not absolute, due to three permanent inherent limitations: (a) nature of financial reporting (many figures are estimates — provisions, useful lives, fair values, ECL — inherently imprecise); (b) nature of audit procedures (evidence is persuasive not conclusive; relies on management info; cannot detect well-concealed collusive fraud with certainty); (c) audit must be completed in reasonable time at reasonable cost.
- **Materiality** = how big an error must be to matter. **Risk** = where errors hide. **Planning** = aiming effort at large + risky. Properly planned file is deliberately **lopsided** (thick where money and risk concentrate); an evenly-thick file signals a planning failure.
- **Planning vs "the plan"**: Planning is the ongoing activity (continuous & iterative). Overall audit strategy and audit plan are its outputs. **Audit programme** = detailed list of procedures (operational heart of the plan) that assistants execute and initial.
- **Planning vs audit programme**: planning = broad forward thinking (scope, timing, direction, resources); programme = detailed procedure checklist.
- Materiality is set by the **auditor** as a planning tool (input to designing procedures and evaluating findings). NOT disclosed in financial statements, NOT negotiated with client, NOT the same as management's accounting materiality.
- Materiality is set for the FS **as a whole** (common information needs of users as a group), NOT per individual user.

Key provisions / SAs

SA 300 — Planning an Audit of Financial Statements

- Purpose: conduct audit effectively — attention to important areas, problems identified/resolved timely, engagement properly organised, staffed, directed and supervised.
- **Benefits**: devote attention to important areas; identify/resolve problems timely; organise & manage efficiently; select team members with appropriate capabilities/competence and assign work; facilitate direction/supervision/review; coordinate component auditors and experts.
- **Preliminary engagement activities (before planning; done at start of CURRENT audit, every year)**: (1) client/engagement **continuance** procedures; (2) evaluate compliance with **ethical requirements incl. independence** (SA 220/Code); (3) establish **understanding of engagement terms** (SA 210 — engagement letter). Act as a filter identifying events (loss of independence, integrity issues) that affect ability to plan/perform.
- **(a) Overall Audit Strategy** — sets **scope, timing and direction**; guides development of the plan. Auditor:
 - identifies characteristics defining **scope** (reporting framework, industry reporting, locations/components, reliance on internal audit);
 - ascertains **reporting objectives to plan timing** & communications (interim/final deadlines, TCWG meeting dates);
 - considers **factors significant in directing efforts** (materiality determination, preliminary high-risk areas, prior audit results, management's commitment to internal control);
 - considers results of preliminary engagement activities;
 - ascertains **nature, timing, extent of resources** (team size, experience, deployment, budget).

- **Scope vs Direction:** Scope = boundaries/characteristics (framework, components, locations, use of internal audit). Direction = where effort is steered within boundaries (materiality, preliminary high-risk areas, prior-year results, management control attitude). Materiality is a **direction** factor, NOT scope.
- **(b) Audit Plan** — more detailed; converts strategy into procedures. Describes: **NTE of planned risk assessment procedures** (SA 315); **NTE of planned further audit procedures at assertion level** (SA 330 — tests of controls + substantive); **other procedures** required by SAs.
- **NTE triad:** Nature = kind/purpose of procedure (inspection, observation, external confirmation, recalculation, analytical) & control test vs substantive; Timing = when (interim vs at/after year-end) & period covered; Extent = how much (sample size, locations, quantity). Higher risk → more reliable nature, timing nearer/at year-end, larger extent.
- Strategy & plan are **interrelated, continuous, iterative** — a change in one may cause consequential change in the other; update as audit progresses.
- **Direction, supervision, review:** plan NTE of these; intensity rises with (i) assessed risk, (ii) complexity, and falls with (iii) staff competence/experience. Links to SA 220.
- **Documentation (SA 300):** overall strategy; audit plan; **significant changes** to strategy/plan **and reasons**.
- **Initial (first-year) audits need MORE planning** (no prior cumulative knowledge): arrangements with **predecessor auditor** (SA 210/ethics), procedures on **opening balances** (SA 510), confirm prior closing balances correctly carried forward.

SA 320 — Materiality in Planning and Performing an Audit

- Purpose: apply materiality in **planning and performing**. (SA 450 = evaluating misstatements found — measuring against the yardstick at end.)
- **Definition:** Misstatements (incl. omissions) are **material** if, individually or in aggregate, they could reasonably be expected to **influence the economic decisions of users** taken on the basis of the FS. Depends on **size and/or nature** (quantitative + qualitative). Judged from a reasonable user's standpoint.
- **No fixed formula** — professional judgement, framework-dependent (Ind AS/AS definition provides frame of reference where it exists).
- **Assumptions about users:** reasonable knowledge of business/accounting + willingness to study with reasonable diligence; understand FS prepared/audited to materiality levels (not perfection); recognise uncertainties in estimates/judgements; make reasonable economic decisions.
- **Three materiality figures (+ a fourth threshold):**
 - **(i) Overall materiality (FS as a whole):** set at strategy stage; % × chosen benchmark.
 - Benchmark factors: elements of FS (assets, liabilities, equity, revenue, expenses); items users focus on; nature of entity, life-cycle stage, industry/economic environment; ownership structure & financing (debt-financed → users focus on assets/claims); relative volatility of the benchmark.
 - Indicative benchmarks (confirm current ICAI figures; SA fixes no numbers): PBT ~5% (profit-focused); Revenue/turnover ~0.5–1% (PBT small/volatile/near-break-even, loss-making, growth); Total assets ~1–2% (asset-heavy/lenders); Net assets/equity ~1–5% (funds); Gross profit/total expenses varies (NPO/expenditure-focused).
 - **Normalise** a benchmark distorted by a one-off item (asset-sale gain, exceptional impairment, freak year) — use figure before exceptional item or multi-year average; document.
 - **(ii) Specific materiality** (particular classes/balances/disclosures, where applicable): lower figure where a misstatement below overall materiality would still influence users due to **nature**. Examples: related-party transactions; directors' remuneration; loan covenant / regulatory ratio compliance; amount crossing loss-to-profit; industry-sensitive disclosures. Flagging factors: law/regulation/framework drives expectations for an item; key industry disclosures; attention focused on a separately-disclosed aspect (e.g., newly acquired business). Set "where applicable," not always.

- **(iii) Performance materiality:** amount(s) set at **less than** overall (and less than specific) materiality to **reduce to an appropriately low level the probability that aggregate of uncorrected + undetected misstatements exceeds overall materiality**. Two jobs: aggregation cushion + undetected (sampling) error cushion. Often ~50–75% of overall (lower for higher risk). Calibrated by: understanding of entity, prior-year misstatement history, expectation of current-period misstatements. **Can be set lower for a specific high-error class/balance** — not necessarily a single figure for the whole audit.
- **(iv) Clearly-trivial threshold** (belongs to SA 450, set in planning): amount below which misstatements need NOT be accumulated. NOT a synonym for "immaterial" — a much lower bar. Misstatements above clearly-trivial but below materiality **MUST** still be accumulated and evaluated.
- **The ladder (largest→smallest):** Overall materiality > Performance materiality > Clearly-trivial threshold. Specific materiality is a parallel LOWER line for sensitive areas (with its own PM beneath it).
- **Materiality ↔ audit risk are inverse:** lower materiality → more items material → more evidence/work → detection risk down. Higher risk → lower performance materiality (bigger cushion).
- **Revision (SA 320 requirement):** revise materiality (and specific/performance) if new info would have caused a different initial determination — e.g., actuals diverge sharply from estimates used, decision to dispose of a major part of the business, change in understanding of entity. **Downward revision is the dangerous one:** must reconsider whether performance materiality and NTE of further procedures remain adequate; procedures done to a higher threshold may need extending/repeating.
- **Documentation (SA 320):** amounts AND **factors considered** for — overall materiality; specific materiality (if any); performance materiality; any revision.

Other linked SAs

- **SA 315** — Identifying/assessing risks of material misstatement; supplies the risk map planning aims at.
- **SA 330** — Auditor's responses to assessed risks; the plan's "further procedures."
- **SA 450** — Evaluation of misstatements; back-end partner, accumulate above clearly-trivial, judge aggregation at completion.
- **SA 510** — Initial audit engagements / opening balances.
- **SA 210 / SA 220 / SQC 1** — engagement terms; quality control (direction/supervision/review, competent staffing).

Assertions (SA 315) — materiality lands on these: Transactions: Occurrence, Completeness, Accuracy, Cut-off, Classification. Balances: Existence, Rights & obligations, Completeness, Valuation & allocation. Presentation/disclosure: Occurrence, Completeness, Classification, Accuracy, Valuation.

- Revenue → risky assertions Occurrence (fictitious sales) & Cut-off. Inventory → Existence & Valuation (obsolescence). Liabilities/provisions → Completeness (hunt unrecorded).
- **Directional testing:** Overstatement-prone items (assets, income) — test FROM recorded figure TO evidence. Understatement-prone (liabilities, expenses) — test FROM independent sources BACK to records (search for unrecorded liabilities: subsequent payments, unmatched supplier statements, post-year-end invoices).

Exam traps & must-remember

1. Materiality is NOT a fixed rule/single %. It is judgement-based, entity-specific, benchmark-anchored. Never write "5% always."
2. Don't forget the **qualitative** dimension — a small amount in a sensitive area (director's pay, related parties, loss-to-profit flip, covenant breach) is material by **nature**. "Immaterial, ignore" is the trap answer.
3. Don't confuse Overall (top-line) vs Performance (lower working buffer) vs Specific (lower for sensitive areas). Performance is always BELOW overall.
4. Risk–materiality direction: higher risk → LOWER performance materiality; lower materiality → MORE work. Don't invert.
5. Planning is continuous/iterative, NOT a one-time event.
6. Strategy (scope/timing/direction/resources = map) vs Plan (detailed procedures = route) — don't list procedures under strategy or resources under plan.

7. Must **revise** materiality when projected vs actual profit diverges; downward revision → reconsider procedures already done.
8. Every decision (incl. reasons/factors and changes) must be **documented** — don't stop at "auditor decides X."
9. Planning is NOT all done before fieldwork; continues throughout; some substantive procedures may begin during planning.
10. Every audit is planned — scale varies with size/complexity; small audit needs less, not zero.
11. "Clearly trivial" ≠ "immaterial." Above clearly-trivial but below materiality MUST still be accumulated.
12. Not one performance materiality for the whole audit — a high-error class can carry its own lower PM.
13. Audit plan ≠ audit programme; programme = detailed procedure list within the plan.
14. Don't reflex to 5% of PBT — debt-financed/asset-heavy/loss-making/investment entities may need total assets/revenue/net assets. Justify from who the users are and what they watch.
15. Management does NOT set or get told exact materiality — it's the auditor's file judgement, not disclosed in FS.
16. Cross-check chosen benchmark against an alternative; a wildly different result flags an unstable primary benchmark.

One-line recall

- Can't check everything (scarcity) and shouldn't (relevance) → aim at large × risky = planning; only reasonable (not absolute) assurance due to 3 limitations.
- SA 300 = machinery (preliminary activities → strategy [scope/timing/direction/resources] → plan [risk-assessment + further procedures via NTE]; continuous; documented).
- SA 320 = threshold (overall = %×benchmark; specific = lower for sensitive/nature; performance = below overall, ~50–75%, buffers aggregation + sampling; clearly-trivial below that).
- Ladder: Overall > Performance > Clearly-trivial; Specific runs lower and parallel. Materiality↓⇒work↑; Risk↑⇒PM↓.
- Materiality = size AND/OR nature; benchmark follows users' focus & financing structure; normalise one-offs; revise when actuals/facts change (downward = reconsider procedures).
- Chain: SA 315 (map) → SA 320 (size) → SA 300 (aim) → SA 330 (respond) → SA 450 (evaluate found misstatements).

Risk Assessment & Internal Control — Revision Note

Snapshot

Auditor cannot check everything; misstatement is unevenly spread, sometimes hidden, and lives in estimates/disclosures/concealment, not just transactions. So audit is a sampling + judgement exercise: measure danger (risk assessment), lean on the entity's internal control, then target effort where danger is highest. Core standards: SA 315 (assess), SA 330 (respond), SA 265 (report control deficiencies).

Core concepts

Audit Risk model: $AR = IR \times CR \times DR$ (conceptual, NOT a calculator).

- Audit Risk (AR) = risk auditor expresses an inappropriate opinion (says statements fine when materially misstated). Kept low (conceptually ~5%); never zero → reasonable, not absolute, assurance.
- Inherent Risk (IR) = susceptibility to material misstatement before controls (raw danger).
- Control Risk (CR) = risk entity's controls fail to prevent/detect misstatement.
- Detection Risk (DR) = risk auditor's own procedures miss a misstatement. The ONLY component auditor controls directly (the lever).
- $RMM = IR \times CR$ = Risk of Material Misstatement (entity's; auditor can only assess, not change).
- $DR = AR \div RMM$ → DR is INVERSE to RMM. High RMM → low DR → more/better/later work. Low RMM → less work.
- DR never zero: sampling risk + non-sampling risk always leave a floor → AR never zero.

Two risk tiers: Financial-statement level (pervasive, e.g. weak control environment, going concern, incentive to misstate → overall responses) vs Assertion level (specific transactions/balances/disclosures → specific procedures).

Assertions targeted: existence, completeness, valuation, rights & obligations, cut-off, classification, presentation & disclosure. Audit the assertion most at risk, not the balance by size.

Five components of internal control (COSO/SA 315):

1. Control Environment — tone at top; integrity, ethics, competence, governance. Foundation; weakness = FS-level risk.
2. Entity's Risk Assessment Process — how entity identifies/responds to its own business risks.
3. Information System & Communication — records that initiate, record, process, report transactions.
4. Control Activities — authorizations, reconciliations, segregation of duties (SoD), physical controls, IT application controls, performance reviews.
5. Monitoring of Controls — ongoing assessment of control effectiveness (incl. internal audit).

SoD splits three incompatible functions: custody, recording, authorization. One person holding two+ → SoD fails, CR rises.

Authorization: general (standing policy, e.g. price list) vs specific (case-by-case sign-off).

IT controls: Application controls (inside a process — input validation, three-way match PO-GRN-invoice) rest on IT General Controls / ITGCs (access security, change management, IT operations). Reliance on an application control valid only if supporting ITGCs effective.

Limitations of internal control (why $CR \neq 0$, some substantive always needed): management override (deadliest — sits above controls, selective), collusion, human error, cost-benefit limits, non-routine transactions, manual judgement lapses / IT program-change & access exposure.

Key provisions / SAs

SA 315 — Identifying & Assessing RMM through understanding entity & environment

- SHALL perform risk assessment procedures to understand entity, environment, internal control → assess RMM at FS level & assertion level.
- Three risk assessment procedures: (1) Inquiry (weak alone), (2) Analytical procedures (flags anomalies), (3) Observation & inspection. Also draw on: client acceptance/continuance, prior-period experience (check for changes affecting current relevance), external info.
- TRAP: risk assessment procedures alone do NOT provide sufficient appropriate audit evidence for the opinion — they scope, not conclude.
- Mandatory engagement-team discussion on susceptibility to material misstatement, incl. fraud (overlaps SA 240). Must be documented.
- Understand: industry/regulatory/external factors (incl. reporting framework); nature of entity (ops, ownership, governance, related parties); accounting policies; objectives/strategies/business risks; measurement & review of performance; internal control.
- Evaluate control DESIGN & IMPLEMENTATION (D&I) for relevant controls — via walkthroughs (trace one transaction origin → FS). D&I confirms control exists and is used; it is NOT a test of operating effectiveness and NOT reliance. Inquiry alone never enough even for implementation.
- Inherent risk factors (revised SA 315, 2021, effective periods on/after 1 Apr 2023): complexity, subjectivity, change, uncertainty, susceptibility to management bias/fraud. Spectrum of inherent risk (likelihood × magnitude), not binary.
- Significant risks: require special audit consideration; = risk near upper end of inherent-risk spectrum. Consider whether involves fraud, recent economic/accounting developments, complexity, significant related-party transactions, high estimation/subjectivity, significant non-routine transactions. For significant risks, SHALL understand relevant controls; substantive procedures shall be specifically responsive. Revenue recognition = presumed fraud risk (SA 240) unless rebutted — must document reasons if rebutted.
- Significant risk judged on INHERENT risk (before controls); strong controls don't downgrade it, only affect response.
- Revise risk assessment when further-procedure evidence is inconsistent with it (assessment is ITERATIVE).

SA 330 — Auditor's Responses to Assessed Risks

- (A) Overall responses to FS-level risk: emphasize professional skepticism; assign more experienced staff / experts; more supervision; build in unpredictability; general changes to nature/timing/extent (shift to year-end). Weak control environment → more substantive, more at period-end, broader scope.
- (B) Further audit procedures at assertion level, two types: Tests of Controls (ToC) and Substantive Procedures (SP).
- Choose Nature / Timing / Extent (NTE) by risk:
 - Nature = kind/reliability of procedure (external confirmation > inquiry; inspection > observation). Higher risk → more reliable. MOST powerful lever, change nature first.
 - Timing = interim vs period-end. Higher risk → push to period-end.
 - Extent = sample size. Higher risk → larger.
- GOLDEN RULE: irrespective of assessed risk, perform substantive procedures for EACH material class of transactions, account balance, disclosure. Never rely on controls alone for material items.
- For significant risks, if approach is substantive-only, procedures SHALL include tests of details (not analytics alone).
- Must include: agreeing/reconciling FS to underlying records; examining material journal entries & other adjustments made in preparing statements.
- Evaluate sufficiency & appropriateness of evidence at end; if not enough, perform further procedures.

Tests of Controls (ToC) — evidence a control worked

- Purpose: support lower CR assessment → justify reliance → less substantive work.
- Mandatory when: (a) RMM assessment includes expectation controls operate effectively (auditor intends to rely); OR (b) substantive procedures alone cannot give sufficient appropriate evidence (common in highly automated/paperless, no audit trail).

- Test operating effectiveness (operated as designed, consistently, throughout period, by whom) — distinct from implementation.
- Methods ranked: re-performance (strongest) > inspection of documentary evidence > observation (only shows moment observed) > inquiry (never alone). Nature of control dictates nature of test; undocumented control can't be inspected.
- Timing/rotation: if tested at interim, get evidence for remaining period. Controls effective in prior audits may be tested less often but **MUST** be tested at least once every third audit. If control changed → test current period. Significant-risk controls → test **EVERY** (current) period, no prior-year reliance. More reliance planned → shorter acceptable gap.
- Deviations: investigate (isolated vs systemic; did it cause misstatement); consider compensating controls; if reliance undermined, increase substantive work. Deviation ≠ automatic misstatement, but always forces re-evaluation.

Substantive Procedures (SP) — monetary accuracy

- Tests of Details (ToD): vouching, tracing, external confirmation, physical verification, recalculation. Reliable, expensive.
- Substantive Analytical Procedures (SAP): plausible relationships (interest = balance × rate). Appropriate only where relationship plausible/predictable, data reliable, expectation precise enough. For a significant risk, SAP alone **PROHIBITED** — tests of details mandatory.
- Direction of testing: Vouching (records → source) tests occurrence/existence, catches **OVERSTATEMENT**. Tracing (source → records) tests completeness, catches **UNDERSTATEMENT**. Understated/unrecorded liabilities need a **SEARCH FOR UNRECORDED LIABILITIES** (trace post-year-end payments/GRN-not-invoiced), never vouching recorded payables.

SA 265 — Communicating Deficiencies in Internal Control to TCWG & Management

- Deficiency: control designed/implemented/operated so it cannot prevent-or-detect-and-correct misstatements timely; OR a necessary control is missing.
- Significant deficiency: deficiency (or combination) that, in professional judgement, merits attention of TCWG.
- Requirements: (1) **SHALL** determine whether deficiencies (individually/combined) are significant; (2) **SHALL** communicate significant deficiencies **IN WRITING** to TCWG, timely; (3) **SHALL** also communicate to management (written or oral): significant deficiencies + other deficiencies of sufficient importance meriting management attention.
- Written communication contents: description of deficiencies + explanation of potential effects; plus context — purpose of audit was to opine on FS; auditor considered internal control only to design procedures, **NOT** to opine on control effectiveness; matters limited to deficiencies auditor considered significant.
- Severity factors: susceptibility to loss/fraud; subjectivity of amounts; volume exposed; interaction with other deficiencies; importance of control to reporting; whether already caused a misstatement. Significant on **POTENTIAL** alone — no misstatement need have occurred. Listed indicators: ineffective control environment (e.g. senior-management fraud however small); absence of risk-assessment process where expected; restatement of prior FS.
- Deficiency (fault in control) ≠ misstatement (error in number); SA 265 = deficiencies, SA 450 = misstatements.

Connections: SA 200 (reasonable assurance made operational). SA 320 materiality (threshold; with risk sets extent). SA 240 fraud (revenue presumed fraud risk; management-override procedures mandatory regardless of control strength — journal-entry testing, estimate-bias review, unusual-transaction scrutiny). SA 500/530 (nature-timing-extent executed via reliability hierarchy & sampling). SA 520 (analytics: both risk-assessment and substantive tool). SA 402 (outsourced controls — understanding extends to service provider; use service-auditor report, often Type 2 for operating effectiveness, or test at service org). SA 450 (misstatements vs deficiencies). SA 260 (broader TCWG communication). Companies Act: Sec 143(3) (i) — report on adequacy **AND** operating effectiveness of IFC (positive opinion, where applicable) — **OPPOSITE** scope to SA 265's no-opinion disclaimer. Sec 134(5)(e) — directors responsible for IFC. Sec 177 — audit committee (TCWG). CARO 2020 — internal-control comments. Sec 138 — internal audit for prescribed companies (feeds monitoring).

Exam traps & must-remember

1. Risk assessment procedures do NOT give evidence for the opinion — they scope only.
2. Implementation (SA 315, exists/used, walkthrough) ≠ operating effectiveness (SA 330 ToC). Seeing a control exists is NOT reliance.
3. Strong controls never let you skip substantive work — SP mandatory for every material item.
4. DR is INVERSE to RMM (high RMM → low DR). Don't flip it.
5. SA 265 communication does NOT mean auditor opined on internal control — disclaimer required (unless separate Sec 143(3)(i) IFC report).
6. No prior-year reliance for significant-risk controls — test current period; any relied control tested at least every 3rd year; changed control → test this year.
7. For significant risks, substantive analytics alone insufficient — must include tests of details.
8. Deficiency can be significant on potential alone — actual misstatement not required.
9. Small company: components still exist (often informal); weak environment raises CR, pushes substantive — doesn't excuse assessment.
10. Don't test controls you won't rely on (unless substantive alone impossible) — efficiency trap.
11. Interim testing must be rolled forward to cover remaining period.
12. Inquiry alone never sufficient as a test of controls.
13. Audit risk model is conceptual, not a precise sample-size calculator.
14. "Significant risk" (SA 315, top-of-spectrum inherent risk) ≠ "significant deficiency" (SA 265, control weakness for TCWG).
15. Wrong direction of testing — vouching for understated liabilities is wrong; use search for unrecorded liabilities.
16. Management override sits above controls; strong design doesn't neutralise it — SA 240 override procedures mandatory regardless.
17. A control deviation is neither automatically a misstatement nor ignorable — investigate + re-evaluate reliance.
18. Reliance on automated application controls without ITGC evidence is unsupported.
19. Deficiency (fault in control) ≠ misstatement (error in number) — SA 265 vs SA 450.
20. Don't answer "increase the sample" to every high-risk case — nature/timing often stronger.

One-line recall

- $AR = IR \times CR \times DR$ (conceptual); $RMM = IR \times CR$ (entity's, only assessed); $DR = AR \div RMM$, INVERSE to RMM, never zero.
- SA 315 = assess (risk assessment procedures, team discussion, 5 control components, D&I via walkthrough, inherent-risk factors/spectrum, significant risks); SA 330 = respond (overall + ToC/SP, NTE by risk, substantive for every material item); SA 265 = report significant deficiencies in writing to TCWG.
- Five control components: Environment, Entity Risk Assessment, Information System, Control Activities, Monitoring; application controls rest on ITGCs.
- ToC when reliance planned OR no audit trail; methods re-performance > inspection > observation > inquiry (never alone); significant-risk controls tested current year, others at least every 3rd year.
- Vouching (records→source) = overstatement/occurrence; Tracing (source→records) = understatement/completeness; unrecorded liabilities → search, not vouching.
- Some substantive work always required; management override audited regardless of control strength (SA 240); assessment is iterative.

Chapter 04 — Audit Evidence (Revision Note)

Snapshot

Owners cannot verify managers, so the auditor must gather evidence beyond management's own say-so to close the verification gap. The master rule (SA 500): obtain sufficient appropriate audit evidence to form a reasonable basis for the opinion. Evidence is persuasive, not conclusive. This chapter covers SA 500, 501, 505, 510, 530, 550, 570, 580, 620, plus assertions and reliability.

Core concepts

- **Two flavours of misstatement:** Error (honest mistake) and Fraud (deliberate deception). Auditor reduces risk of undetected *material* misstatement to an acceptably low level.
- **Reasonable, not absolute, assurance** — four structural reasons: (a) selective testing (sampling); (b) inherent limitations of internal control (override/collusion); (c) evidence is persuasive not conclusive; (d) judgement is fallible.
- **Material, not every error:** immaterial error tolerated; misstatement is "material" if it would change a reasonable user's decision. Materiality (SA 320) sets the height of the bar evidence must clear.
- **Sufficient vs Appropriate (SA 500):**
 - Sufficient = *quantity*. Driven by (a) assessed risk of material misstatement (higher risk = more) and (b) quality of evidence (higher quality = less needed). No fixed sample size. Sufficiency judged only *after* appropriateness, against risk × materiality.
 - Appropriate = *quality* = Relevance + Reliability.
- **Relevance** has two dimensions: (a) relates to the *specific assertion* (subsequent receipts test existence/valuation of a receivable, not completeness); (b) depends on *direction of the test* (vouch vs trace).
- **Assertions = the auditor's coordinate system.** Every figure is management asserting several separable claims at once (e.g. inventory: it exists, we own it, it's complete, valued right, disclosed properly). Each can fail independently and needs its own evidence.
- **Direction of misstatement is directional:** assets/revenue tend to be *overstated* (test existence/occurrence), liabilities/expenses *understated* (test completeness).
- **Relevance and reliability are independent axes** — plot every piece of evidence on both; strong evidence needs both.

Key provisions / SAs

SA 500 — Audit Evidence (master standard)

Requirements:

- Obtain **sufficient appropriate** evidence.
- Consider **relevance and reliability**.
- When using **information produced by the entity**, evaluate its reliability — test its **accuracy and completeness** (e.g. an ageing report used to test receivables).
- When using a **management's expert**, evaluate competence, capability, objectivity; understand the work; assess appropriateness.
- If evidence is **inconsistent** or reliability doubtful, determine modifications/additions needed (chase contradictions).
- **Selecting items for testing:** (a) select all items (100%), (b) specific items, or (c) audit sampling.

Audit procedures (memory "I ORREAI"):

Procedure	What auditor does	Primary assertions
Inspection	Examine records, documents, physical assets	Existence (physical), rights, valuation (documents)

Procedure	What auditor does	Primary assertions
Observation	Watch a process (e.g. inventory count)	Existence; whether controls operate
External confirmation	Direct written response from third party (SA 505)	Existence, rights, completeness of certain items
Recalculation	Check arithmetic	Accuracy/valuation
Reperformance	Independently execute a control/procedure	Whether control operates (accuracy, completeness)
Analytical procedures	Evaluate relationships; investigate deviations	Completeness, occurrence, reasonableness
Inquiry	Seek information from knowledgeable persons	Supports all but weak alone — must corroborate

- **Inquiry alone is never sufficient** — it just repeats the assertion under test.
- Inspection of an *asset* proves existence, NOT automatically rights (may be leased/consigned) or valuation (may be obsolete). Inspection of a *document* depends on its nature/source.
- Observation only proves the control operated *at the moment watched*; reperformance is stronger (auditor re-executes himself).
- System-generated data is only as reliable as the IT controls behind it (link SA 315) — a printout is not independent.

Assertions

- **Classes of transactions** (P&L, during period), **account balances** (B/S, at period end), **presentation & disclosure**.
- **Existence (balances)/Occurrence (transactions)**: risk = overstatement (fictitious assets, fake sales). Evidence: physical inspection, confirmation, vouch to source.
- **Completeness**: everything that should be recorded is recorded; risk = understatement (hidden liabilities, unrecorded sales). Evidence: trace from source documents *into* books; cut-off tests; analytics.
- **Valuation/Accuracy & Allocation**: correct value/measurement. Evidence: recalculation, valuation review, ageing, expert reports.
- **Rights & Obligations**: entity owns assets/owes liabilities. Evidence: title deeds, charge registers, confirmations.
- **Cut-off (transactions)**: recorded in correct period. Test last/first documents each side of year-end (GDNs, GRNs) vs recording date.
- **Classification (transactions)**: proper accounts (capital vs revenue).
- **Presentation & Disclosure**: classification, occurrence and rights, completeness, accuracy and valuation, understandability.

Direction (most-tested idea):

- Test **overstatement (existence/occurrence)** → start from recorded figure, go OUT to reality = **vouching** (confirmation).
- Test **understatement (completeness)** → start from reality, come INTO the books = **tracing**.
- Cut-off lives *between* existence and completeness — profit easiest to manipulate at year-end boundary; touches two directional tests at one line.

Reliability hierarchy (SA 500 generalisations, high → low)

1. External more reliable than internal (management doesn't control third parties).
 2. Effective internal controls make internal evidence more reliable.
 3. Evidence auditor obtains *directly* beats indirect/inferred.
 4. Documentary beats oral.
 5. Originals beat photocopies/faxes/scans.
- Reliability = **source × form** (two dimensions collapsed); **relevance** is a separate axis. A written confirmation beats an internal document; but an internal original document usually beats a fleeting oral outsider's remark.
 - All are **generalisations subject to exceptions** — a colluding related party's confirmation or a forged "original" is unreliable. Scepticism overrides.

SA 505 — External Confirmations

Counters: management fabricating balances only a third party can verify (receivables/existence, bank balances/loans).

- Auditor **controls the whole process** — selects, designs, sends, receives reply *directly* (not via management).
- **Positive** confirmation: reply whether agree or not (higher risk). **Negative**: reply only if disagree (weaker, silence ambiguous).
- **Four conditions for negative confirmations (all must hold)**: (a) risk of material misstatement assessed low + evidence on operating effectiveness of relevant controls; (b) large number of small homogeneous balances; (c) very low expected exception rate; (d) auditor not aware of circumstances causing recipients to disregard. Fail any one → negatives not permissible.
- **Positive form with balance blanked out**: more reliable (respondent must retrieve figure) but lower response rate.
- **Management refuses to allow confirmation**: inquire reasons, evaluate reasonableness, perform alternative procedures; if unreasonable = **scope limitation** (qualification/disclaimer) and a fraud signal.
- **Non-responses**: alternative procedures (subsequent cash receipts, shipping docs, sales invoices).
- **Exceptions**: investigate (timing difference or genuine misstatement).
- **Doubtful reliability** (arrived via management, altered, electronic/oral): verify source.
- **Confirmations prove existence brilliantly, completeness poorly** — can't confirm a debtor not on your list. For completeness of liabilities, confirm *suppliers*/reconcile supplier statements (independent of entity's omissions).
- **Timing**: usually at/near year-end. If interim, perform roll-forward for intervening period (only where control risk low enough).

SA 510 — Initial Audit Engagements: Opening Balances

Counters: first-year opening balances never audited by this auditor; if wrong, distort current figures/profit.

- Read most recent **prior-year financial statements** and **predecessor auditor's report**.
- Obtain sufficient appropriate evidence openings contain no material misstatement, by: (a) prior-period closing balances correctly brought forward; (b) **accounting policies consistently applied**; (c) evidence from predecessor's work, or current-period procedures giving *incidental* evidence (collection of opening receivables proves existence/valuation), or specific procedures.
- Material misstatement in openings not dealt with, or inconsistent policies → **modify opinion** (qualified/adverse).
- Unable to obtain sufficient evidence on openings → scope limitation → **qualified or disclaimer on results of operations**.
- **Current** items (receivables, payables, inventory) turn over → incidental evidence available. **Non-current** items (fixed assets, long-term loans, retained earnings) do NOT turn over → harder; inspect prior records or rely on predecessor.
- May review predecessor's working papers (depends on predecessor competence/independence) — does NOT reduce current auditor's responsibility. If prior report was modified, evaluate effect of the underlying matter on current period.

SA 550 — Related Parties

Counters: transactions with connected parties used to siphon value, hide losses, manufacture profit on non-arm's-length terms; ordinary evidence tainted. Fraud hides here.

- **Understand** relationships/transactions; remain **alert** for undisclosed ones (bank confirmations revealing guarantees, unusual transactions).
- Where framework requires arm's-length disclosure, obtain evidence about management's assertion — don't accept label at face value.
- **Identified but previously undisclosed related parties/transactions** → communicate to team, treat as **significant risk** (fraud red flag).
- Obtain **written representations** that all related parties/transactions disclosed.
- Evaluate **business rationale** of significant transactions outside normal course.
- Related parties defeat the reliability hierarchy — external in *form* but not in *substance*; **substance over form** governs. Hunt undisclosed ones in: bank confirmations, register of contracts/charges, board minutes, statutory

filings of directors' interests, large/unusual year-end journals, unusual-terms transactions (interest-free loans, odd prices, round-sum settlements).

SA 570 — Going Concern

Counters: statements assume the entity continues; if false, entire basis misleading.

- Management makes going-concern assessment; auditor **evaluates** it and stays alert for events/conditions casting doubt.
- Where doubt exists, obtain evidence on whether a **material uncertainty** exists — evaluate plans (financing, asset sales, restructuring), test **cash-flow forecast** and assumptions, seek **written representations** on plans/feasibility.
- **Three buckets of warning signs:** (a) **financial** — net liabilities/negative net worth, recurring losses, adverse ratios, loan defaults, inability to pay creditors, withdrawal of supplier credit, dividend arrears; (b) **operating** — loss of key management/market/licence/supplier/customer, labour difficulties, supply shortages; (c) **other** — non-compliance with capital/statutory requirements, pending legal/regulatory proceedings, adverse law/policy changes. Significance may be mitigated by other factors (e.g. default offset by firm refinancing commitment).
- **Reporting decision tree:**
 - Basis appropriate + material uncertainty exists + **adequately disclosed** → **unmodified opinion with separate "Material Uncertainty Related to Going Concern" section**.
 - Material uncertainty + **not adequately disclosed** → **qualified or adverse**.
 - Going-concern basis used but **inappropriate** (won't continue) → **adverse**.
 - Management **unwilling to make/extend** assessment → scope limitation → **qualified/disclaimer**.
- Logic: disclosed uncertainty = statements not wrong (they truthfully warn) → unmodified. Modification triggered only by a *defect in the statements* (inadequate disclosure/wrong basis), never the mere existence of doubt.

SA 580 — Written Representations

Counters: matters living only inside management's head (intentions, completeness of disclosures, knowledge of fraud) — no external evidence.

- Obtain representation that management **fulfilled its responsibility** for the statements and for providing **all relevant information and access**, and that **all transactions are recorded**.
- Obtain specific representations required by other SAs (SA 240 fraud, SA 550 related parties, SA 570 plans).
- **Dated** as near as practicable to, **but NOT after**, the auditor's report; addressed **to the auditor**; signed by those with appropriate responsibility (CEO/CFO); covers all statements/periods in the report.
- **Written representations are audit evidence but NOT sufficient appropriate evidence on their own** about the matters they concern — they complement, never substitute (still a management assertion).
- If management **refuses** a required representation, or auditor **doubts management's integrity** (reps unreliable) → casts doubt on all reps/evidence → potentially **disclaimer of opinion**. Refusal of *basic* responsibility representations ordinarily forces a **disclaimer**.

Management's expert vs Auditor's expert (SA 500 / SA 620)

Dimension	Management's expert	Auditor's expert
Engaged/paid by	Management	The auditor
Governing standard	SA 500	SA 620
Independence concern	High (paid by audited party)	Lower (still assess objectivity/competence)
Auditor does	Evaluate competence, capability, objectivity; understand work; assess appropriateness	Determine need; evaluate competence/objectivity; agree scope; evaluate adequacy of work
Effect on opinion	Auditor solely responsible	Auditor solely responsible; no reference to expert in unmodified report

Punchline: the opinion is the auditor's alone; expertise may be borrowed, responsibility never delegated.

Selecting items (SA 500)

- **100% examination:** small population with large items, single significant risk, or automated processing.
- **Specific items:** large/unusual/risky/key items chosen by judgement — NOT sampling, results **cannot be projected**.
- **Audit sampling (SA 530):** less than 100%, every unit a chance of selection, enabling a conclusion about the whole population; project sample results + misstatements.

Exam traps & must-remember

- "Inquiry alone is enough" — NEVER; must corroborate.
- Written representations used as a *substitute* — they are evidence but **never sufficient alone**; "relied on the management letter" for collectibility/existence = error.
- Negatives are weak (silence ≠ agreement); need all four conditions; don't recommend for risky receivables.
- Confirmation received via — or *offered to be sent by* — management: both destroy reliability; auditor must control the *entire* process and receive replies directly.
- Sufficient ≠ appropriate; a huge file of weak internal vouchers is not enough; quantity cannot cure poor quality; sufficiency judged only after appropriateness.
- Existence ≠ valuation; evidence for one account ≠ evidence for another (clean receivables confirmation ≠ collectibility, ≠ inventory).
- First-year smugness: clean current-year work does NOT cover opening balances (SA 510); non-current openings are the hard ones.
- Going-concern mix-up: adequately-disclosed material uncertainty → unmodified + Material Uncertainty section, NOT a qualification. Trigger for modification is a defect in the statements.
- Reliability rules are generalisations; related parties are external in form but not substance; scepticism overrides.
- Direction: overstatement → vouch outward; understatement → trace inward. "Traced from sales register to dispatch notes to test completeness" is WRONG (that tests occurrence).
- Cut-off is its own assertion; test documents on both sides of the closing date.
- Cost/time as an excuse: "skipped confirmations because costly/time-consuming" is a **violation**, not judgement — difficulty alone never justifies omitting a procedure with no alternative (cost may steer *which* of several adequate procedures, never justify an inadequate one).
- 100% vs specific items vs sampling: a judgemental pick of large items is NOT a sample; cannot project.
- Management's expert ≠ auditor's expert; different standard (SA 500 vs SA 620); unmodified report never mentions the auditor's expert.
- Refusal to confirm / refusal to represent: both red flags — evaluate reasonableness, do alternative work, consider scope limitation/disclaimer.
- Written-representation dating: as near as practicable to, but NOT after, the report date.

One-line recall

- SA 500: Sufficient (quantity, after appropriateness, vs risk × materiality) + Appropriate (relevance + reliability); persuasive not conclusive; inquiry alone never sufficient.
- Reliability = source × form; external/auditor-generated/documentary/original/direct beat internal/oral/copy/indirect — all generalisations with exceptions.
- Direction: existence/occurrence → vouch outward (overstatement); completeness → trace inward (understatement); cut-off at the year-end line.
- SA 505 auditor controls the process; positive vs negative (4 conditions); refusal = scope limit + alternatives. SA 510 opening balances (non-current = hard). SA 550 related parties = significant risk, substance over form.
- SA 570 disclosed material uncertainty → unmodified + MU section; else qualify/adverse. SA 580 written reps never sufficient alone, dated not after the report.
- Connections: SA 315/330 (risk/response), SA 240 (fraud), SA 320 (materiality), SA 230 (documentation), SA 501 (inventory/litigation/segments), SA 530 (sampling), SA 560 (subsequent events), SA 620 (auditor's expert), SA 700/705/706 (report).

Audit Sampling & Analytical Procedures

Snapshot

Two trust gaps the auditor cannot brute-force. (1) Volume gap — cannot examine 100% of large populations, yet the opinion must cover the whole: answered by **audit sampling (SA 530)** — test a representative subset and project. (2) Plausibility gap — item-by-item testing is myopic and misses misstatements visible only in relationships between numbers: answered by **analytical procedures (SA 520)** — build an independent expectation and chase unexpected differences. Sampling drills down; analytics steps back. Neither gives certainty: testing a subset leaves **sampling risk**; even 100% testing leaves **non-sampling risk**. Hence audit gives **reasonable, not absolute, assurance**. Both techniques share one move: the auditor manufactures an independent yardstick (projected error / expected value) and refuses to accept the client's number passively.

Core concepts

- **Homogeneity precondition:** sampling assumes the subset resembles the whole. Where a population mixes wildly different values (20 corporate accounts of Rs 5 cr + 40,000 retail of Rs 200), fix by **stratification** — carve into homogeneous sub-groups and sample each. Mixed values in a question = stratification answer.
- **Analytics engine:** plausible relationships among financial and non-financial data persist unless something changed. Deviation from a well-built expectation = genuine business change (corroborate) OR misstatement in disguise. Power lies in **precision of the expectation** and **independence of the data** — non-financial data (kWh, headcount, tonnes, floor area) is gold because it sits OUTSIDE the manipulable ledger.
- **Incentive-compatibility lens:** every SA 530/520 requirement defeats a specific temptation (auditor's to do less, or management's to mislead). Naming the temptation scores higher than restating the rule.

Key provisions / SAs

SA 500 — Audit Evidence (parent that legitimises sampling)

Evidence must be **sufficient (quantity)** and **appropriate (quality = relevant + reliable)** — interdependent, NOT additive; more evidence cannot rescue poor-quality evidence.

Three ways to select items:

Method	Note
Selecting all items (100%)	Small populations of large-value items, or cheap electronic re-performance (CAATs). Eliminates sampling risk.
Selecting specific items	Judgemental: high-value, all over threshold, unusual items. Targeted testing, NOT sampling — non-selected items had no chance → cannot be projected .
Audit sampling	<100%, all units have a chance of selection → conclude on entire population.

Reliability hierarchy: external > internal; under effective control > not; obtained directly by auditor > indirect; documentary > oral; original > photocopy.

SA 530 — Audit Sampling

Key definitions:

Term	Meaning
Audit sampling	Procedures on <100% such that all units have a chance of selection; conclude on entire population
Population	Entire set concluded about; must be complete and appropriate
Sampling unit	Individual items (invoice, balance, rupee)
Sampling risk	Risk sample conclusion differs from whole-population conclusion; unavoidable; shrinks with sample size

Term	Meaning
Non-sampling risk	Wrong conclusion for reasons unrelated to size (unsuitable procedure, missed error); NOT fixed by size — fixed by planning/supervision/training
Tolerable misstatement	Amount set so actual misstatement does not exceed it; the benchmark; $\leq$ performance materiality
Tolerable rate of deviation	Benchmark for tests of controls
Anomaly	Misstatement demonstrably NOT representative; rare; must be proven
Statistical sampling	Random selection AND probability theory to measure risk
Non-statistical	Lacks either feature; risk judged not computed — same rigour required

Materiality chain: overall materiality $\geq$ performance materiality $\geq$ tolerable misstatement. Setting tolerable near overall materiality destroys the cushion (design error).

Sampling risk — two faces (pair by consequence):

- False-comfort risks say "fine" when it isn't → endanger the **opinion (effectiveness): over-reliance** (controls) and **incorrect acceptance** (details). These are the dangerous ones.
- False-alarm risks say "problem" when there isn't → only waste **effort (efficiency): under-reliance** and **incorrect rejection**.
- Confidence level + sampling risk = 100%; raising confidence raises sample size.

What drives sample size (learn direction):

- Controls — sample size UP with: intended reliance, expected deviation rate, desired confidence. DOWN with: tolerable rate of deviation. Population size: negligible (large populations).
- Details — sample size UP with: RMM, desired assurance, expected misstatement. DOWN with: tolerable misstatement, other substantive procedures for same assertion, stratification. Population size: negligible.
- Asymmetry trap:** higher **tolerable** → smaller sample (more slack); higher **expected** → larger sample (less buffer). Opposite directions. If expected $\geq$ tolerable, sampling is pointless — test in full / seek correction.

Selection methods:

Method	Note
Random	Every item equal chance; pure statistical
Systematic	Interval = population / sample; random start, every nth. Danger: periodic pattern coinciding with interval → biased
Monetary Unit Sampling (MUS)/value-weighted	Sampling unit = the rupee; big items far likelier. Auto-stratifies by value; catches overstatement; blind to understatement / zero/negative balances — poor for completeness
Haphazard	No conscious bias but not structured random; non-statistical only
Block	Contiguous block (all of March). Generally inappropriate — correlated items carry little independent info; cannot project

Untestable items (critical distinction):

- Document lost / procedure can't be applied → test a **replacement item** (never just skip — a missing document may itself be the misstatement).
- Item cannot be tested AND no alternative → treat as **deviation (controls) / misstatement (details)**. Do NOT replace it — burying an untestable item understates the error rate. Rule: replace an item you *chose not to test*; never bury one you *could not test*.

Evaluating results (heart of SA 530):

1. Investigate **nature and cause** of every error — look for patterns (one clerk, year-end) signalling systematic failure/fraud.
2. **Anomaly** only if provably non-representative with high certainty (e.g., fixed one-day glitch), incl. examining more items to confirm. Assume representative unless proven otherwise.
3. **Project** misstatement to population (details). Anomaly added at actual, NEVER projected. For **controls**, the **sample deviation rate IS the projected rate** (no separate projection).
4. **Compare** projected (+ anomalous) vs tolerable. Comfortably below with buffer → acceptable. Close/exceeds → extend sample, alternative procedures, ask management to investigate/correct, re-evaluate.

Projection methods:

- **Ratio (value-weighted):** (misstatement / value of sample) x total population value. Use when error rate roughly constant across values.
- **Difference (per-item):** (misstatement / no. of sample items) x no. of population items. Use when error is a constant amount per item.
- Same found error projects to very different figures → choice of basis is a documented judgement.
- **Buffer judgement:** "projected < tolerable" is NOT automatic pass; a thin buffer (Rs 19L vs Rs 20L) means true figure could breach — extend.

SA 520 — Analytical Procedures

Definition: evaluations of financial information through analysis of plausible relationships among financial AND non-financial data, including investigation of fluctuations inconsistent with other info or differing from expected values by a significant amount.

Three points in the audit:

Stage	Mandatory?
Risk assessment (planning, SA 315)	Yes — required
Substantive procedure (SA 520.5)	Optional (auditor's choice)
Overall review near end (SA 520.6)	Yes — required

Precision bar: broad/directional at risk assessment; **precise enough to substitute for detailed testing** when substantive.

Substantive analytics — four conditions (SA 520.5):

1. **Suitability** for the assertion (good for predictable relationships — interest, payroll; poor for volatile/discretionary/unrelated items — litigation provisions).
2. **Reliability of data** — source, comparability, nature, controls. Deadly trap: expectation built from the same weak system as the audited figure proves nothing → prefer independent/non-financial data.
3. **Precise expectation** — precise enough to catch a material misstatement. Vague ("about the same") detects nothing.
4. **Acceptable difference set in advance** — stops rationalising whatever turns up.

Precision levers: (a) **disaggregation** (monthly/product/location — strongest, offsetting errors cancel in annual totals); (b) stable relationship; (c) reliable independent data; (d) predictive/reasonableness model over trend.

Toolkit by strength (least to most precise): trend analysis < ratio analysis < budget comparison < reasonableness/predictive test. Predictive test from independent non-financial data at disaggregated level = gold standard. Caution: a figure landing exactly on budget is a red flag (management steering actuals), not comfort.

Investigating results (SA 520.7): when significant deviation — (1) inquire of management, (2) **corroborate** with other evidence, (3) further procedures if not corroborated/inadequate. Management's explanation is a **hypothesis, not evidence**. A fluent explanation is not a corroborated one. Default posture toward an unexplained significant fluctuation is suspicion (possible fraud, link SA 240).

Assertions & directional testing (SA 315)

Assertion	Better tested by
Occurrence/Existence	Sampling → vouching (record → document); MUS for overstatement
Completeness	Analytics + tracing (document → record); sampling for understatement
Accuracy/Valuation	Recomputation + reasonableness tests
Cut-off	Targeted selection around year-end
Rights & Obligations	Tests of details (title deeds, confirmations)

The one-sentence rule: *you can only catch what is in the population you sample.* Sample the ledger → find overstatement/existence/occurrence. Sample the real world (dispatch records, supplier statements, GRNs, post-year-end payments) and trace IN → find understatement/completeness. Assets/income overstate → vouch ledger outward; liabilities/expenses understate → trace source documents inward. Vouching recorded purchases can NEVER detect unrecorded purchases.

Exam traps & must-remember

- **Non-statistical is NOT casual** — SA 530 applies fully; only difference is risk measured vs judged. Representativeness + projection mandatory in both.
- **Random selection alone is not statistical** — needs random selection AND probability theory.
- **Failure to project** — the number in the sample is never the number in the population.
- **Confusing projection methods** — ratio scales by value, difference by item count; document the basis.
- **Over-using "anomaly"** — rare, requires proof of non-representativeness + testing more items. It's the escape hatch the Standard bolts shut.
- **Replacement vs deviation** — replace an item you chose not to test; treat an untestable item (no alternative) as a deviation.
- **Population size drives sample size** — FALSE for large populations; assurance from sample size not the ratio (soup-tasting).
- **Tolerable vs expected** move sample size in OPPOSITE directions.
- **Tolerable set too high** — must be ≤ performance materiality.
- **Sampling vs non-sampling risk** — only sampling risk shrinks with size.
- **MUS catches overstatement, not understatement** — zero/understated item has no rupees, escapes.
- **Analytics mandatory at risk assessment + overall review, optional as substantive** — frequently reversed.
- **Accepting uncorroborated explanations** — SA 520.7 requires corroboration; exact-on-budget is a flag not comfort.
- **Block/haphazard** — block inappropriate (correlated); haphazard non-statistical only.
- **Specific-item selection is NOT sampling** — cannot project; small-value tail (where structured fraud hides just under the threshold) left unexamined.
- **Documentation (SA 230):** an experienced auditor with no prior connection must be able to re-perform the judgement — capture reasoning, not just numbers. Projected misstatements feed SA 450 uncorrected-misstatement schedule.

One-line recall

- Sampling (SA 530) closes the volume gap; analytics (SA 520) close the plausibility gap; both give reasonable not absolute assurance.
- Every unit must have a chance of selection — that is what licenses projection.
- Anomaly = a proof, not a label; assume errors are representative and project them.
- Tolerable shrinks the sample; expected grows it; population size barely matters for large populations.
- Analytics mandatory at risk assessment + final review, optional as substantive; a vague expectation can never be violated.
- You cannot sample the ledger to find what was left out of the ledger — match technique to the direction of the lie.

- Management's explanation is a hypothesis, not evidence — corroborate it.

Audit of Items of Financial Statements

Snapshot

The financial statements are not one claim but hundreds of **assertions**, and each can be false in a different way. Double-entry means profit can be flattered by inflating the asset/income side OR deflating the liability/expense side — so **motive gives every misstatement a direction**. **Assets & income → audit for OVERSTATEMENT** (test recorded items for reality, ownership, value). **Liabilities & expenses → audit for UNDERSTATEMENT** (search for what's missing). The evidence must match the *nature* of the assertion. Where an assertion is chronically abused, ICAI hard-coded a dedicated SA (501 inventory/litigation, 505 confirmations, 540 estimates, 510 opening balances). Effort scales to **risk x materiality (SA 320)**. Item audit is risk assessment (SA 315) and response (SA 330) applied figure by figure; substantive procedures can never be skipped entirely (SA 330 para 18) because of management override.

Core concepts

- **Assertion is the hinge** between risk and procedure: *for this item, which assertion is most likely false, in which direction, because of whose motive?* → *that is the risk* → *choose the procedure that disproves that assertion*. Never jump item → procedure.
- **Three assertion families**: Classes of transactions (Occurrence, Completeness, Accuracy, Cut-off, Classification, Presentation); Account balances (Existence, Rights & obligations, Completeness, Valuation & allocation, Classification, Presentation); Presentation & disclosure.
- **Existence vs Occurrence**: Existence = is the asset here at reporting date? (inspect). Occurrence = did the transaction happen in the period? (vouch to dispatch). Ghost machine fails Existence; fictitious sale fails Occurrence.
- **Completeness is genuinely harder than Existence**: missing items are not in the records to sample — must find an independent complete population OUTSIDE the ledger (GRN register, bank statement, post-year-end payments). This is why "search for unrecorded liabilities" is a named technique.
- **"Audit for overstatement" = primary thrust, not only-recorded-items**. The reverse direction survives at lower risk. Risk is degree and direction, not binary.

Key provisions / SAs

Seven procedure verbs (SA 500 A14–A25)

Verb	Best proves
Inspection (records/assets)	Existence; supports Valuation
Observation	Existence + process effectiveness (e.g. the count)
External confirmation	Existence + Rights (independent third party)
Recalculation	Accuracy, Valuation
Reperformance	Whether a control worked
Analytical procedures	Completeness, Accuracy (screening)
Inquiry	Weak alone — always corroborate

Inquiry is never sufficient on its own (SA 500). Vouch = Occurrence; Trace = Completeness; Inspect = Existence; Confirm = Existence + Rights; Recompute = Valuation.

SA 500 reliability ladder: auditor's own direct knowledge > external obtained directly by auditor > external held by entity > internal (strong controls) > internal (weak controls/photocopy/oral). Originals beat photocopies. External evidence more reliable only if it reaches the auditor without passing through interested hands (why SA 505 insists the auditor controls confirmation mail).

Governing standards carried into every item

SA 315 (assertions/risk), SA 320 (materiality), SA 330 (responses; substantive mandatory for each material item), SA 450 (aggregate misstatements), SA 500 (evidence), SA 501 (inventory/litigation/segments), SA 505 (confirmations), SA 510 (opening balances), SA 520 (analytics), SA 530 (sampling), SA 540 (estimates), SA 550 (related parties), SA 560 (subsequent events), SA 570 (going concern), SA 580 (written reps — corroborative, **never a substitute** for evidence reasonably obtainable).

Item-by-item: assertion at risk → signature procedure

Revenue — Occurrence, Cut-off (also Accuracy, Completeness). **SA 240 rebuttable presumption of fraud in revenue recognition.** Tricks: fictitious sales (Occurrence), cut-off manipulation. Procedures: vouch to order/dispatch challan/gate register/customer acknowledgement; cut-off testing; analytics (margin, month-wise, post-year-end returns = channel-stuffing); test credit notes after year-end; confirm year-end large customers; review policy vs **Ind AS 115 five-step model** (identify contract → performance obligations → transaction price → allocate → recognise on satisfaction). Edge cases: **bill-and-hold** (recognise only if substantive reason, goods separately identified as customer's, ready to transfer, seller can't redirect); **principal vs agent** (agent recognises net commission, not gross). **Direction reversal — cash business** (jeweller/restaurant): motive flips to suppressing sales for tax → **Completeness/understatement**; analytics of margins, stock-to-sales reconciliation.

Purchases & Expenses — Completeness + Cut-off (profit inflation via omitting/deferring); Occurrence (fictitious/personal spend). Procedures: **search for unrecorded liabilities** (post-year-end payments, un-entered invoices); vouch to PO/GRN/invoice/payment; purchase cut-off (goods received before year-end must hit both purchases AND closing inventory); analytical review; capital vs revenue classification. **Three-way match** (PO + GRN + invoice) — fictitious purchase usually lacks the GRN. Capital vs revenue is **bidirectional**: revenue-expense capitalised overstates profit; capital item expensed (tax-driven) understates profit + asset.

PPE — Existence, Valuation, Rights, Completeness of additions/disposals. Procedures: verify additions to invoice/board approval/only directly attributable cost (Ind AS 16); physical inspection reconciled to fixed asset register; recompute depreciation (SA 540 — depreciation is an estimate; starts when **available for use**, not first used); test disposals; examine title deeds (Schedule III title-deed disclosure); impairment (Ind AS 36); charges/mortgages. **Register walk two directions**: register-to-floor tests **Existence** (ghost assets); floor-to-register tests **Completeness** (unrecorded/expensed assets). **Directly attributable cost includes** purchase price net of discount, site prep, delivery, installation, professional fees, dismantling/restoration; **excludes** admin overheads, initial operating losses, training, costs after ready-for-use. **Component accounting**: significant components with different lives depreciated separately. **Impairment: recoverable amount = HIGHER of (fair value less costs of disposal, value in use)**. If asset can't generate cash independently → test the **cash-generating unit (CGU)**. Revaluation model → whole class, not cherry-picked.

Inventory — Existence (headline), Valuation, Rights, Completeness, Cut-off. **Profit leverage**: COGS = Opening + Purchases – **Closing**; every rupee added to closing stock adds a rupee to profit. **SA 501** (when inventory material): (1) **attend physical count** — evaluate instructions, observe, inspect, test counts; (2) if count date differs from B/S date → procedures on intervening transactions (roll-forward/back); (3) if can't attend → count on alternative date + reconcile; (4) if attendance impracticable → alternative procedures (inspect subsequent sales of pre-counted items); if impossible → **modify opinion (scope limitation)**; (5) inventory held by **third parties** → external confirmation (SA 505). **Test counts**: sheets → floor tests Existence of recorded items; floor → sheets tests Completeness of records (state the purpose). **Perpetual/continuous system** may replace year-end count if well-controlled; large unexplained cycle-count differences → full count needed. **Valuation**: cost vs NRV at the **lower, item by item** (Ind AS 2; healthy items cannot subsidise loss-makers; only similar/related items may be grouped); LIFO not permitted; test obsolete/slow/damaged; cut-off. **Cost includes** purchase cost net of discounts + conversion (labour + production overhead at **normal capacity**) + costs to bring to location/condition; **excludes** abnormal waste, storage (unless needed pre-further-processing), admin, selling costs.

Trade Receivables — Existence, Rights, Valuation (recoverability), Cut-off. Overstated to inflate assets / under-provided bad debts. Procedures: **External confirmation (SA 505)** — flagship; auditor controls send/receive. **Positive** (reply always) for material/risky; **Negative** (reply only if disagree) only if ALL four: (i) low RMM, (ii) large number of small homogeneous balances, (iii) very low expected exception rate, (iv) no reason recipients disregard. **Blank positive** (debtor fills the amount) — stronger, lower response. Non-response → **alternative procedures**: subsequent receipts matched to invoice (strongest), shipping docs + invoice + order, subsequent correspondence. Management refusal → evaluate reason, alternatives,

unreasonable refusal = scope limitation. Test **provision/ECL (SA 540)** — age receivables. Watch **teeming and lading** (odd ageing though balances confirm).

Investments — Existence, Rights, Valuation, Presentation (current/non-current). Procedures: physical inspection or **custodian/depository confirmation (SA 505)** + DP statement; verify valuation (Ind AS 109/AS 13); classification; income accrual; charges/liens. **Fair-value hierarchy (Ind AS 113)**: L1 quoted (hard to fudge), L2 observable, **L3 unobservable** (management model — valuation risk concentrates here, SA 540 bites, may use auditor's expert SA 620). **AS 13**: long-term at cost, written down only for **other-than-temporary** decline; current at **lower of cost and fair value**.

Cash & Bank — Existence, Completeness, Rights, Cut-off. Procedures: **bank confirmation (SA 505)** covering overdrafts/loans/liens/guarantees/unused facilities; BRR review (stale cheques, uncleared deposits); cash count (surprise, get written acknowledgement); receipts/payments cut-off. **Teeming and lading** = ongoing defalcation, lapping receipts (steal A's, cover with B's...) — attacks completeness of receipts. **Window dressing** = year-end cosmetic (record cheques issued but hold them → understate cash + payables to improve current ratio; related-party bridging deposit banked 31 Mar, bounces April) — attacks Cut-off/Presentation. One is theft, the other lying about the picture. Undispatched cheque is NOT a payment; liability still exists.

Borrowings — **Completeness (headline)**, Accuracy, Rights, Presentation/Classification, Cut-off (accrued interest). Procedures: confirm with lenders (SA 505); examine agreements (rate, security, covenants); verify charge registration with ROC; recompute + accrue interest at year-end; classify current vs non-current; check defaults (Schedule III/CARO). **Covenant breach at reporting date → loan is CURRENT** even if long tenure, unless lender waives on or before reporting date for ≥ 12 months; a waiver AFTER year-end does not save classification. Cascades to going concern (SA 570). Interest **accrues with time, not payment due date**.

Trade Payables — **Completeness (headline)**, Existence, Cut-off, Accuracy, Presentation. Signature risk: understatement through omission; vouching is blind — must **search for unrecorded liabilities** (post-year-end payments, unmatched GRNs, supplier statements, un-entered invoices). Reconcile supplier statements. **Confirm SMALL/nil balances with high purchase activity** (not large ones) — sampling inverts with risk direction. Purchase cut-off. **MSME dues** disclosure (principal + interest) per MSMED Act/Schedule III; unpaid MSME interest accrues by law = unrecorded liability.

Provisions & Contingent Liabilities (SA 540 + SA 501) — Completeness, Valuation, Presentation. Risk: under-provide (inflate profit) or over-provide (cookie-jar smoothing); contingents understated/undisclosed. **Ind AS 37 / AS 29 spine** — **PROVIDE only if all three**: (i) present obligation (legal/constructive) from past event; (ii) outflow **probable (>50%)**; (iii) reliably estimable. Only **possible** or not measurable → **DISCLOSE** as contingent liability. **Remote** → do nothing. Procedures: understand estimate method/assumptions; recompute + independent estimate/range; **subsequent events (SA 560)**; litigation → review board minutes + legal ledgers + **direct communication with legal counsel (SA 501)**. Hunt **management bias** (estimates clustered at favourable extreme). **Warranty** = expected-value (probability-weighted) for a large population; a **single** obligation uses most-likely outcome. **Onerous contract** provided at lower of cost-to-fulfil and exit penalty; **anticipated future operating losses NOT provided** (no past event).

Equity/Share Capital & Reserves — Occurrence/Rights, Accuracy, Presentation, Completeness of disclosure. Lower fraud risk, high compliance/authorisation. Procedures: verify movements to board/shareholder resolutions, MOA/AOA, ROC filings, register of members; check compliance (buy-back Sec 68, further issue Sec 62, reduction); securities premium used only for permitted purposes; dividends per Sec 123; reconcile reserves. **Securities premium (Sec 52) permitted uses**: fully paid bonus shares, write off preliminary expenses, write off share/debenture issue expenses/commission/discount, premium on redemption of RPS/debentures, buy-back. **Dividend (Sec 123)**: deposit in separate account within 5 days; unpaid → Unpaid Dividend Account within 30 days; unclaimed 7 years → IEPF (with shares).

SA 450 aggregation

Accumulate all misstatements above trivial threshold; evaluate individually AND in aggregate against materiality. Small individually-immaterial errors can sum to material (e.g. cut-off 16 + unrecorded expenses 18 + inventory 10 + under-provision 56 = 100 lakh). A candidate who fixes each in isolation but never sums them misses the point.

Exam traps & must-remember

- **Wrong-direction test** — vouching payables earns no marks; want search for unrecorded liabilities. Confirm large receivables but SMALL/nil high-activity payables.
- **Vouching vs tracing** — vouch (record→doc) = Occurrence/Existence; trace (doc→record) = Completeness.
- **Existence vs Occurrence** — balance-date fact vs transaction-in-period.
- **Inquiry never alone (SA 500); written reps (SA 580) corroborate, never originate.**
- **SA 240 revenue presumption** — always invoke; flip to understatement in a cash business.
- **SA 501 escape hatch** — don't qualify immediately; go alternative date → alternative procedures → qualify only if evidence still unobtainable.
- **External confirmation control** — auditor sends/receives; refusal → evaluate + alternatives + maybe scope limitation.
- **Negative confirmations need all four conditions.**
- **Lower of cost/NRV item-by-item** — healthy items can't subsidise loss-makers.
- **Impairment uses HIGHER of FVLCD and VIU** (recoverable amount); never write up under cost model.
- **Netting prohibited** — debit balances in payables and credit in receivables reclassified; overdraft = borrowing not negative cash.
- **Cut-off bidirectional** — goods received before year-end hit both inventory AND creditors.
- **Accrual != payment due date** — interest accrues with time.
- **Adjusting vs non-adjusting subsequent events (SA 560)** — post-year-end insolvency/court ruling on a pre-existing condition = **adjusting** (change numbers).
- **Physical inspection proves Existence, not Rights** — still need title deeds; counting stock doesn't prove ownership (consignment) or NRV.
- **Selective revaluation prohibited** — whole class of PPE.
- **Window dressing vs teeming and lading** — cosmetic year-end vs ongoing lapping defalcation.
- **Anticipated future operating losses not provided; onerous contract is.**
- **Covenant waiver after reporting date** does not prevent current classification.

One-line recall

- Assets & income → audit for OVERSTATEMENT; liabilities & expenses → audit for UNDERSTATEMENT.
- Vouch = Occurrence; Trace = Completeness; Inspect = Existence; Confirm = Existence + Rights; Recompute = Valuation.
- Completeness can only be tested from a population outside the ledger — hence "search for unrecorded liabilities".
- The sample must be chosen for the direction of the lie: large balances for overstatement, small/nil high-activity for understatement.
- SA 501 ladder: attend count → alternative date + roll-forward → alternative procedures → qualify; inventory lower of cost/NRV item-by-item.
- Provision tree: present obligation + probable + reliably estimable → provide; possible → disclose; remote → ignore; impairment at higher of FVLCD and VIU.
- SA 450: aggregate all misstatements before judging the opinion; inquiry never stands alone.

Chapter 07 — Audit in an Automated Environment (Revision)

Snapshot

Books now live inside computer systems (ERP/SAP/Oracle/Tally/banking core). The trust gap is unchanged, but the risk relocates into three reservoirs — **logic, access, data**. Errors become **systematic** (same wrong rule on every transaction, one-directional, doesn't self-cancel like random manual error), leave **no visible paper trail**, and multiply at **huge volume/speed** — so IT risk is **pervasive** (a general-control weakness hits many assertions at once). Response: move the audit into the computer — understand IT (SA 315), test the foundation (ITGCs) before the transaction guards (application controls), audit **through** not **around**, and use **CAATs/data analytics** on the full population.

Core concepts

Three verbs kept distinct (SA 315/330):

- **Understand** (SA 315) — mandatory on *every* audit, even with no planned reliance. Can't assess risk in a system you don't understand.
- **Evaluate design + determine implementation** (SA 315) — is the control *capable* and does it *exist/is in use*? A walkthrough answers this.
- **Test operating effectiveness** (SA 330) — does it work *throughout the period*? Only if you intend to **rely**.
- Trap: "I did a walkthrough" (design + implementation) ≠ "I tested the control" (operating effectiveness).

Two control layers (fail differently):

- **IT General Controls (ITGCs)** — environment-wide plumbing; do NOT process transactions; they make application controls *dependable*. **Weak ITGCs ⇒ cannot rely on ANY automated application control**. Domains:
 - **Access security / logical access** — authentication ("are you who you claim?") + authorisation ("what may you do?"). Enforces **segregation of duties** (SoD migrates from bodies to roles; test access-matrix for toxic combinations). Watch **privileged/superuser** access (can commit AND conceal).
 - **Change management** — request→test→approve→migrate; **separation of dev/test/prod**; developers no standing production access; emergency/"firefighter" changes reviewed after the fact.
 - **Program development / SDLC** — new systems correctly built, tested, authorised.
 - **IT operations** — job scheduling, batch, incident/monitoring; jobs complete, on time, not missed/duplicated.
 - **Backup, recovery & business continuity** — protects **existence & completeness** of records (ransomware/disk failure = scope + going-concern issue, not just IT hygiene).
- **Application controls** — transaction-level, within one process. Ensure **completeness, accuracy, validity, authorisation**. Three flavours: **automated / manual / IT-dependent manual**.

Point of reliance (the strategic choice per class of transactions): controls-reliance strategy (test once, cover the year — only if ITGCs hold) vs substantive strategy (always available, but in high-volume world executed *with* the computer via CAATs). No ITGC-free island: even substantive work trusts a data extract that depends on ITGCs.

Benefit of consistency: an automated control is **deterministic** — one successful test is evidence about every execution in the period, **but only because change-management ITGC guaranteed the code didn't change**. Remove change management and the extrapolation collapses.

IT-dependent manual control (the trap flavour): a human acts *on the basis of a system-generated report* (e.g., manager reviews "exceptions over ₹1 lakh"). Only as reliable as the **report's completeness/accuracy** (Information Produced by the Entity — IPE). A diligent human reviewing a silently-incomplete report reviews a lie. Must ALSO test the report/query + ITGCs.

Around vs through vs with:

- **Around** = black box; test inputs & outputs only, *assume* processing correct. OK only for simple, low-volume systems with strong visible audit trail. Failure mode: reconciliation only catches errors that BREAK the input-output relation; a wrong-but-uniform rule (e.g., interest at 5.9% vs 6.0%) reconciles perfectly and is still wrong. **Reconciliation tests the arithmetic of the process, not the correctness of the rules.**
- **Through** = open the box, test processing/logic/programmed controls. Needed for complex/high-volume/paperless/automated systems.
- **With** = using the computer as a tool (CAATs, analytics). Decide **per class of transactions**, not one blanket verdict.

Key provisions / SAs

- **SA 315** — Identifying and Assessing Risks of Material Misstatement through Understanding the Entity and Its Environment. **Anchor.** Requires understanding the **information system + how the entity uses IT**, and the **controls including ITGCs and application controls**. Introduces "**risks arising from the use of IT**" (unauthorised access, unauthorised changes, reliance on inaccurate systems).
- **SA 330** — The Auditor's Responses to Assessed Risks. If relying on automated controls, must test those controls AND the ITGCs supporting their **continued effective operation throughout the period**.
- **SA 240** — Fraud. Automated fraud via access/data manipulation; **journal-entry testing** best done via CAATs on full population.
- **SA 500** — Audit Evidence. Electronic evidence reliability depends on **controls over its preparation/maintenance** (→ ITGCs).
- **SA 402** — Using a Service Organisation. Outsourced IT/cloud ERP/third-party payroll: understand those controls, often via **service auditor's report (SOC 1 / Type 2)**; auditor still owns the opinion.
- **SA 620** — Using the Work of an Auditor's Expert. IT specialist; evaluate competence, objectivity, work.
- **SA 230** — Audit Documentation. CAAT design, data source + integrity checks, parameters, results — all re-performable.
- **SA 265** — Communicating Deficiencies. Significant ITGC/application-control weaknesses reported to those charged with governance.
- **SA 530** — Audit Sampling. 100% testing removes *sampling* risk; sampling stays relevant where full-population testing is impractical.
- **Fact-pattern → SA map:** outsourced processing → **402**; IT specialist → **620**; journal/override testing → **240**; electronic-evidence reliability → **500**; spine is always **315 (understand) + 330 (respond)**.

Application control types (by stage):

- **Input** — validation/format/range/**check digit**, mandatory fields, existence check vs master, batch control totals. (Accuracy, Validity)
- **Processing** — run-to-run totals, reasonableness/limit checks, sequence/**completeness (control & hash totals)**, **3-way match PO+GRN+invoice**, correct **configuration** (tax rates, credit limits — wrong config = systematic error). (Completeness, Accuracy, Authorisation)
- **Output** — output-to-input reconciliation, restricted distribution, exception reports reviewed. (Completeness, Confidentiality)
- **Duplicate checks** (same invoice+vendor) prevent double-count.
- **Master-data integrity:** "vendor must exist in master" is worthless if fake vendors can be added — controls over *who changes master data* sit at the app/general boundary and are a frequent weak point.

CAATs (Computer-Assisted Audit Techniques):

- **Test data** — *dummy* txns (valid AND invalid) through the *client's* program → tests programmed **controls/logic**. Must not corrupt live data.
- **Integrated Test Facility (ITF)** — dummy entity embedded in the *live* system, txns run alongside real ones then **reversed** → tests under real conditions; highest contamination risk.
- **Parallel simulation** — auditor's *independent* program re-processes *real* client data, compares → tests **processing accuracy**.

- **Embedded audit facility / SCARF** — audit routines baked into live system continuously capture unusual/transient transactions to an audit log → continuous auditing ("flight recorder").
- **Generalised Audit Software (GAS)** — IDEA/ACL; sort, filter, total, stratify, sample, recompute, find gaps/duplicates on full population. Workhorse for substantive testing.
- **Utility software / SQL scripts** — ad-hoc extraction.
- **Direction hook:** *Test data = fake data through real program (controls); Parallel simulation = real data through auditor's program (accuracy).*
- **Use-considerations:** IT skill/expertise (may need SA 620 expert) · availability & compatibility of tools · impracticability of manual tests · effectiveness & efficiency · timing (transient data) · data integrity / don't corrupt live systems · cost-benefit & client cooperation · **prove extract completeness first.**

Data analytics (ADA): discover patterns/deviations/anomalies over the **whole population**. Uses: 100% testing · **journal-entry testing (SA 240)** — weekend/holiday/after-hours postings, unusual users, round sums, just-below approval limits, unusual accounts/narrations · 3-way match · duplicate & gap detection · revenue cut-off · ageing/recomputation · **Benford's Law** (leading digit 1 ≈ 30%, falls to ~4.6% for 9; flags — does NOT prove — fraud; does NOT apply to constrained data: capped, sequential, assigned-ID, floor/ceiling fields).

Exam traps & must-remember

- "Automated control worked in walkthrough, so rely on it" — **WRONG without ITGCs** (esp. change management). Reliance is conditional.
- Confusing layers: "passwords restrict payroll module access" = **ITGC (access security)**; "payroll rejects negative hours" = **application (input) control**.
- "Auditing around always/never acceptable" — neither; only OK for simple systems with strong visible trail.
- Test data on a live system can **corrupt real records** — mention safeguard (copy, or reverse via ITF); feed **both valid AND invalid** cases (the control's job is to reject).
- CAAT/analytics exceptions are **leads to investigate, not conclusions**. Garbage in, garbage out.
- Swapping test data ↔ parallel simulation = instant mark loss.
- "100% testing eliminates audit risk" — no, only **sampling risk for that test; data-completeness risk** (the extract may be incomplete — reconcile counts/control totals to source/TB first) and **non-sampling/judgement risk** remain.
- IT-dependent manual control: never conclude on the human step alone — test the report's completeness/accuracy (IPE).
- Benford's on constrained/capped/sequential data = meaningless.
- Master-data integrity often the real weak point.
- Outsourcing (cloud/SaaS) does NOT remove auditor responsibility — SA 402, SOC/Type 2.
- Name the right SA: anchor is **SA 315 + SA 330**; there is no fictional "SA on IT."
- Answer computer effects as **audit impacts tied to a risk** (loss of trail, systematic error, automated controls, pervasive IT, volume), not as computer features.
- Pervasiveness: a general-control weakness undermines reliance on *every* automated control — reassess the whole plan, not one line.
- **Systematic-error multiplier:** 50,00,000 accounts, ₹40,000 avg balance, rate 6.00% vs mis-configured 5.95% = ₹20 error/account (immaterial, invisible to sample) × 50,00,000 = **₹10 crore** aggregate. One-directional systematic error doesn't wash out → must recompute the whole population (parallel simulation/GAS), not sample 25.

One-line recall

- Trust gap unchanged; risk relocates into **logic · access · data** — errors go systematic, paperless, vast, pervasive.
- **SA 315 understand → SA 330 respond**; test ITGCs first → then application controls → reduce substantive.
- **Weak ITGCs ⇒ no reliance on any automated control ⇒ substantive (CAATs).**
- "Benefit of consistency": test once = cover the year, **only because change-management ITGC held.**
- **Test data = fake/real program (controls); Parallel simulation = real/auditor's program (accuracy);** ITF = dummy entity live+reversed; SCARF = continuous; GAS = full-population workhorse.

- 100% testing kills **sampling** risk only — prove the **extract is complete/reliable** first; analytics gives leads, not conclusions.

Chapter 08 — Company Audit (Companies Act 2013, Sec 139–148)

Snapshot

The problem: the auditor is chosen and paid by the managers he audits — risk of **auditor capture**. Sec 139–148 wrench each control lever (appointment, tenure, eligibility, pay, removal, powers, permitted work, signing, hearing, punishment) out of management's hands and re-route it to **members / a fixed statutory rule / an independent authority (NFRA, NCLT, Central Government, C&AG)**. Two recurring moves: **relocation of power** (gatekeeper height rises with the danger of the act) and **forced visibility** (file / certify / disclose / read aloud). Statute (not just ICAI ethics) is needed because ethics binds only the auditor; only statute binds the company.

Core concepts

- **Independence of mind** — form opinion free of compromising influences. **Independence in appearance** — avoid circumstances a reasonable third party would see as impairing objectivity.
- **Five ethical threats** → **sections**: Self-interest → 141(3)(d), 142, 144. Self-review → 144. Advocacy → 144. Familiarity → 139(2) rotation, 141(3)(f). Intimidation → 140(1) removal double-lock, 140(4).
- **Qualified vs Eligible**: *Qualified* 141(1)-(2) = right type of person/firm (CA in practice / firm with majority CA partners). *Eligible* 141(3) = free of entanglement with this client. A shareholding CA is qualified but ineligible.
- Audit is **compulsory for every company** regardless of size/profit; rules are statutory and non-waivable.

Key provisions / SAs (section no. + requirement)

Sec 141(1)-(2) — Who may audit. Only a **CA in practice**; a **firm/LLP** if majority of partners practising in India are CAs; only CA partners sign. 141(3)(a) bars a **body corporate except an LLP**.

Sec 139(6)/(7) — First auditor.

- Non-Govt (139(6)): **Board within 30 days** of registration; if Board fails, **members at EGM within 90 days** (90 days measured from registration). Holds office **till conclusion of 1st AGM**.
- Govt (139(7)): **C&AG within 60 days**; failing which Board within next 30 days; failing which members within 60 days at EGM. Also till 1st AGM.
- Term is event-linked (conclusion of 1st AGM), not a date; if AGM delayed, term stretches.

Sec 139(1) — Subsequent (real) appointment. At 1st AGM, **members** appoint auditor from conclusion of that meeting to **conclusion of 6th AGM (5 years)**. Need **written consent + certificate of Sec 141 compliance BEFORE appointment**; file **Form ADT-1 within 15 days**. **Annual ratification proviso OMITTED by Companies (Amendment) Act 2017** — no annual ratification now. Five-year term ≠ rotation (term vs number of terms).

Sec 139(2)-(4) — Rotation (prescribed classes: all listed cos; unlisted public with paid-up capital ≥ ₹10 cr; private with paid-up ≥ ₹50 cr; any such company with public borrowings from banks/FIs or deposits ≥ ₹50 cr — Rule 5, verify; OPC & small cos excluded):

- **Individual auditor: max 1 term of 5 consecutive years.**
- **Audit firm: max 2 terms of 5 consecutive years (10 years).**
- **Cooling-off: 5 years** before re-appointment in same company.
- Anti-avoidance: firms with **common partners** barred; **same network/brand** aggregated; **past tenure counted** (transitional). Members may voluntarily resolve to rotate the **engagement partner** even where firm rotation doesn't apply.

Sec 139(8) — Casual vacancy (death, resignation, disqualification mid-term):

- Non-Govt: **Board within 30 days**; if due to **resignation, also members' approval at GM within 3 months**. Appointee holds office **till next AGM only** (never fresh 5 years).
- Govt: **C&AG within 30 days**; failing which Board within next 30 days.

- NOT casual vacancy: term-expiry retirement; Sec 140(1) removal.

Sec 141(3) — Disqualifications (financial-entanglement filter). Not eligible:

- (a) body corporate (except LLP);
- (b) officer/employee of company;
- (c) partner/employee of an officer/employee;
- (d) person (or relative/partner) holding **any security or interest** in company/subsidiary/holding/associate — **relative may hold up to face value ₹1,00,000** (verify); or **indebted beyond ₹5,00,000**; or **guarantee for another's debt beyond ₹1,00,000**. Auditor/partner/firm = **zero tolerance** (even one share); cushion is only for a relative, with a **corrective window (commonly 60 days, verify)** for a relative's excess. Indebtedness direction: auditor owing **to** the company (unpaid audit fees owed by company is a different issue).
- (e) business relationship with company;
- (f) relative is a **director or KMP**;
- (g) full-time employment elsewhere, or auditor holding **> 20 company audits** (ceiling; OPC/dormant/small/below-threshold private excluded; for a firm applied **per partner**, counted against signing partner);
- (h) convicted of fraud in preceding **10 years**;
- (i) renders prohibited services under Sec 144.
- **Sec 141(4):** disqualification incurred **after** appointment → **automatic vacation of office** → casual vacancy under 139(8). Work signed after the event is tainted.

Sec 142 — Remuneration. Fixed by **members in general meeting** (may delegate the fixing to Board); **Board fixes first auditor's fee. Includes** audit fee + expenses + facilities; **excludes** fees for other services (kept separately visible → foreshadows Sec 144).

Sec 140 — Removal / resignation / special notice (hardest door):

- **140(1) Removal before term: special resolution + prior Central Government approval.** Order: Board resolution → **ADT-2 to Central Government within 30 days** of Board resolution → CG approval → **special resolution within 60 days** of approval → **reasonable opportunity of being heard**. (CG approval comes BEFORE the special resolution.)
- **140(2)-(3) Resignation:** file **Form ADT-3** with company & Registrar (and C&AG for Govt cos) within **30 days**, stating **reasons and facts**; **penalty on the auditor** for default.
- **140(4) Not re-appointing retiring auditor:** appointing someone other than retiring auditor needs **special notice**; retiring auditor has **right of written representation, circulated/read at meeting. No CG approval.**
- **140(5) Tribunal removal:** NCLT (suo motu / CG / any person's application) may order change if auditor acted **fraudulently or colluded/abetted** fraud → **debarred 5 years + Sec 447 liability.**

Sec 143 — Powers & duties:

- **143(1) Powers:** right of access **at all times** to books/accounts/vouchers **wherever kept**, incl. branches; require info/explanations. Proviso extends access to **subsidiaries/associates for consolidation.**
- **143(2)-(3) Report:** report to members whether financial statements give a **true and fair view**; **143(3)** must state: all info/explanations obtained; **proper books kept** + branch returns; accounts agree with books/returns; **AS compliance**; observations/qualifications with adverse effect; whether any **director disqualified under Sec 164(2)**; **adequacy & operating effectiveness of IFC**; **Rule 11** matters (pending litigation, foreseeable losses on long-term contracts, dividends, etc.). Three flavours: positive assurance / reason-if-negative / report-the-fact.
- **143(12) Fraud reporting:** on **reason to believe** (not proof) an officer/employee fraud against the company — **≥ ₹1 crore → Central Government** (two-step: forward to Board/Audit Committee for reply within ~45 days, then **Form ADT-4** to CG within ~15 days; Rule 13, verify); **< ₹1 crore → Board/Audit Committee** + disclosure in Board's report. Good-faith reporting = **statutory safe harbour, not breach of confidentiality**. Duty extends to **cost & secretarial auditors.**
- **143(5)-(7):** Govt cos — C&AG may direct manner, receive report, do **supplementary audit** and **test audit.**

- **143(9)-(10):** auditor must comply with **auditing standards (SAs)** prescribed by Central Government (recommended by NFRA/ICAI).
- **143(8) Branch audit:** branch audited by **principal auditor or a branch auditor** (foreign branch: local qualified person). Branch auditor sends report to principal auditor, who **deals with it as necessary**; principal auditor **not automatically liable** if handled properly (SA 600), but not a rubber stamp — single accountability stays with him.

Sec 144 — Prohibited (non-audit) services. Auditor (directly or indirectly, incl. via relative, associated entity, network/brand, partners/firm) must NOT render to company / its holding / subsidiary: **accounting & book-keeping; internal audit; design & implementation of financial information systems; actuarial; investment advisory/investment banking; outsourced financial services; management services; any other prescribed.** Closed list — **tax, company-law, MRLs, certain certification generally permitted** (verify). Rendering a prohibited service also disqualifies under **141(3)(i)**.

Sec 145 — Signing. Auditor (or authorised CA partner) **signs the report; qualifications/observations/comments having adverse effect must be read out at the AGM** and open to inspection (only the qualifications, not the whole clean report). Signature = personal accountability.

Sec 146 — Attendance at AGM. All notices/communications of general meetings sent to auditor; auditor must **attend** (personally or via representative qualified to be auditor) with **right to be heard**, unless **members** exempt him (not management).

Sec 147 — Punishment (tiered):

- Company/officers in default (contravene 139–146): fines (company); fine and/or imprisonment (officers).
- **Auditor** (contravenes 139, 143, 144, 145): **fine** (min, up to cap or 4× audit fee whichever lower); if **wilful & intended to deceive** → **imprisonment up to 1 year + higher fine + refund of audit fee + damages**.
- Firm with partners acting **fraudulently/colluding** → **joint & several** civil and criminal liability. Links to **Sec 245 class action**.

Sec 148 — Cost audit. For specified classes producing goods/providing services (regulated/strategic industries), CG may direct **cost records + cost audit** by a **Cost Accountant (ICMAI)**, **appointed by the Board, remuneration ratified by members**. Report to Board / CG. **Statutory auditor cannot be the cost auditor**. Same fraud-reporting duty (143(12)) applies. Forms: **CRA-2** (appointment intimation), **CRA-3** (report to company), **CRA-4** (company files with CG) — verify.

Related SAs / sections: Sec 132 (NFRA oversight, can debar); SA 200 / Code of Ethics (independence + 5 threats); SA 210 (engagement terms); SA 240 (fraud, dovetails 143(12)); SA 260/265 (communication with TCWG / control deficiencies); SA 600 (branch/other auditor, 143(8)); SA 700/705/706 (report format); SA 230 (documentation); Sec 164(2); Sec 245; CARO (expands 143(3) reporting); CA Act First Schedule Clause 8 (communicate with retiring auditor).

Exam traps & must-remember

- First auditor holds office **till conclusion of 1st AGM** — NOT 5 years, NOT till next Board meeting.
- First auditor: Board **30 days**; only on Board failure do members get **90 days** at EGM (measured from registration). Don't merge.
- Casual-vacancy appointee holds office **till next AGM** — not a fresh 5 years.
- **Rotation: individual = 1 term (5 yr), firm = 2 terms (10 yr); cooling-off 5 yr.** Don't reverse; applies only to prescribed classes.
- **Private ≠ exempt from rotation** — borrowings/deposits can pull a small private company in.
- **Annual ratification is GONE** (2017 Amendment).
- Casual vacancy by **resignation** needs members' approval within **3 months**.
- **140(1) removal** = special resolution + CG approval (CG approval BEFORE special resolution). **140(4) non-re-appointment** = special notice + right of representation, NO CG approval. Most confused pair — match to **timing of event** (mid-term ouster vs term ending).
- **Qualified vs eligible** — shareholding CA is qualified but ineligible.
- Thresholds: relative security **₹1,00,000** (auditor himself **zero**); indebtedness **₹5,00,000**; guarantee **₹1,00,000**; ceiling **20 companies** (OPC/dormant/small/below-threshold private excluded — net out before concluding

breach). Indebtedness is auditor owing **to** company.

- **141(4)**: disqualification after appointment = **automatic vacation** (not "should resign"); work after event tainted.
- **Sec 144** is a bright-line list with directly/indirectly reach — small fee / different department / sister firm is no defence; but it's a **closed list** (tax & company-law generally permitted).
- Fraud: $\geq ₹1 \text{ cr} \rightarrow$ **Central Government** (via Board/AC then ADT-4); $< ₹1 \text{ cr} \rightarrow$ **Board/AC** + Board's report. Standard = "**reason to believe**," waiting for proof breaches the duty.
- Only **qualifications** read at AGM (145); only **members** may exempt auditor from AGM (146).
- **Sec 147**: fine only (non-wilful) vs fine + jail + refund + damages (wilful to deceive) — classify state of mind first.
- **Cost auditor $\neq$ statutory auditor**; Cost Accountant (ICMAI), Board-appointed, fee ratified by members (reverse emphasis).
- Branch auditor reports **up** to principal auditor; principal not auto-liable but not a rubber stamp.
- **Only members appoint the subsequent auditor**. Board only for first auditor, casual vacancy (resignation caveat) and cost auditor.

One-line recall

- The watched must never control the watchman — that is all of Sec 139–148.
- Members hire and pay; Board only bridges gaps; the State (CG) must bless a removal.
- Rotation: individual 1×5 yr, firm 2×5 yr, cool off 5 yr — kills familiarity by the calendar.
- 141 quarantines the conflict (auditor zero shares, relative $\leq ₹1\text{L}$, debt $\leq ₹5\text{L}$, ≤ 20 audits); 144 cuts the silence-bribe.
- Mid-term ouster needs Central Government (140(1)); merely not re-appointing needs only special notice (140(4)).
- Fraud $\geq ₹1 \text{ cr} \rightarrow$ CG via ADT-4; $< ₹1 \text{ cr} \rightarrow$ Board/AC; standard is "reason to believe," not proof. No safeguard has teeth without Sec 147.

Chapter 09 — Audit Report & Opinions (Revision Note)

Snapshot

The audit report is the auditor's **SOLE** output to users — a standardised, structured communication of a conclusion. It states **ONE** thing: an **opinion** on whether the FS give a **true and fair view** per the applicable framework, on **reasonable (not absolute) assurance** — an opinion, never a certificate. It carries a graded "bad news" dial (clean → qualified → adverse/disclaimer), walled-off attention channels (EOM/OM/KAM), boundary-policing sections (management vs auditor responsibility, to shrink the **expectation gap**), plus Indian bolt-ons (CARO, IFC, s.143 fraud). Governing SAs: **700, 701, 705, 706** (+ 570, 260/265, 450) and Companies Act **s.143**.

Core concepts

- **Expectation gap** = two sub-species: *knowledge gap* (users misunderstand what audit promises) — report can attack this via Responsibilities sections; *performance gap* (auditor fell short of standards) — report cannot cure this.
- **Fair-presentation framework** (India: Companies Act + AS/Ind AS) → opinion says FS "*give a true and fair view.*" **Compliance framework** (special-purpose) → says FS "*prepared, in all material respects, in accordance with*" — drops "true and fair."
- **Two independent switches, NOT one dial**: Switch A = *what kind of trouble* — **disagreement** (have evidence, numbers wrong) vs **inability** (lack evidence, don't know). Switch B = *how far it spreads* — isolated vs **pervasive**. Opinion = the coordinate on a 2×2, never a point on a 1×4 ladder.
- **Reasonable assurance** = high but not absolute (sampling, estimates, cost/time limits) → justifies "opinion" not "certificate."
- Opinion is on "**the FS as a whole**" — holistic, not line-by-line.

Key provisions / SAs

SA 700 (Revised) — Forming an Opinion & Reporting on FS

Governs the **unmodified (clean)** opinion and architecture of EVERY report.

- **Forming opinion**: conclude whether **reasonable assurance** obtained that FS as a whole are free from material misstatement (fraud or error). Evaluate: sufficient appropriate evidence (SA 330/500); uncorrected misstatements material individually/in aggregate (SA 450); fair presentation qualitatively — policies appropriate & consistently applied, estimates reasonable, info relevant/reliable/comparable/understandable, disclosures adequate, terminology appropriate, and FS refer to/describe the framework.
- **Elements in required order**: Title ("Independent Auditor's Report") → Addressee ("To the Members") → **Opinion (placed FIRST)** → Basis for Opinion (states SAs followed, auditor **independent** per ICAI Code + Act, evidence sufficient/appropriate) → [Material Uncertainty Related to Going Concern — SA 570, if applicable] → **Key Audit Matters (SA 701)** → Responsibilities of Management/TCWG → Auditor's Responsibilities → Other Reporting Responsibilities (CARO, s.143(3)) → Signature (engagement partner name, membership no., **FRN, UDIN**) → Place & Date.
- **Opinion paragraph must name**: (a) identify entity; (b) FS have been audited; (c) title of each statement (BS, P&L incl. OCI, cash flow, statement of changes in equity); (d) refer to notes incl. significant accounting policies; (e) date/period covered.
- **Report date** must NOT be earlier than: (i) date sufficient appropriate evidence obtained, (ii) date FS (incl. notes) prepared, (iii) date **Board** approved/took responsibility. Dating before board approval = defective report. Date asserts subsequent events (SA 560) considered.

SA 705 (Revised) — Modifications to the Opinion

Q1 — Reason to modify (only two):

1. **FS materially misstated (disagreement)** — from (a) inappropriate accounting policies, (b) misapplication of policies, or (c) inadequate/missing/misleading disclosures.

2. **Cannot obtain sufficient appropriate evidence (scope limitation/inability)** — from (a) circumstances beyond control (fire, appointed after stock count), (b) nature/timing of auditor's work, (c) **management-imposed limitation**. For (c): request removal → if refused, communicate with TCWG → if effect could be material & pervasive and no alternative evidence, **disclaim** or (if permitted) **withdraw**.

Q2 — Extent (two axes):

- **Material** = could reasonably influence users' economic decisions.
- **Pervasive** (higher bar, three limbs — name the limb): (a) NOT confined to specific elements; or (b) if confined, a **substantial proportion** of FS; or (c) for disclosures, **fundamental to users' understanding**. Pervasive = reach/centrality, not size alone.

2×2 matrix:

	Material, NOT pervasive	Material AND pervasive
Misstatement (disagreement)	Qualified	Adverse
Scope limitation (inability)	Qualified	Disclaimer

- **Qualified**: "except for the effects of..." (disagreement) / "except for the possible effects of..." (scope) — one word "possible" encodes the switch.
- **Adverse**: "do NOT give a true and fair view" — ONLY from disagreement + pervasive.
- **Disclaimer**: "we do not express an opinion" — ONLY from inability + pervasive. ("I can't tell," not "it's wrong.")
- **Presentation**: heading changes; Basis becomes "Basis for Qualified/Adverse/Disclaimer of Opinion" and must **describe + quantify** financial effect (quantifiable misstatement unquantified = substantive defect). For a **missing disclosure**, auditor includes omitted disclosure in the Basis section itself (where practicable). For **disclaimer**: Auditor's Responsibilities section shortened, evidence-sufficiency sentence removed, and **NO KAM reported**. Cannot express unmodified opinion on a single item within a report giving adverse/disclaimer on FS as a whole under same framework.

SA 706 (Revised) — Emphasis of Matter & Other Matter (do NOT modify opinion)

- **EOM** — draws attention to a matter **already presented/disclosed IN the FS**, fundamental to understanding. Conditions: opinion NOT modified re the matter, and it is NOT a KAM (mutually exclusive). Para under "Emphasis of Matter" heading, refers to the note, states opinion not modified. **Three gates**: (1) matter appropriately disclosed (else → modify, not EOM); (2) sufficient evidence it's not materially misstated; (3) not a KAM/modification matter. Overuse dilutes signal. Examples: exceptional litigation uncertainty, major catastrophe, early adoption of a standard.
- **OM** — matter **NOT in the FS** but relevant to understanding the **audit/auditor's responsibilities/report**. Heading "Other Matter." Examples: prior-year figures audited by **predecessor auditor**; report distribution restriction; two frameworks.
- **Direction**: EOM points *into* FS; OM points *outside* FS. Both communicated to TCWG (with wording) before issue.

SA 701 — Key Audit Matters

- **Definition**: matters that, in auditor's professional judgment, were of **MOST significance** in the current-period audit; **selected from matters communicated to TCWG**.
- **Mandatory for listed entities** (or when law/regulation requires, or auditor elects). NO separate size/turnover threshold — trigger is *listed status*.
- **Funnel**: all TCWG matters → those requiring **significant auditor attention** (higher assessed/significant risks per SA 315; significant judgments re estimates with high uncertainty; significant events/transactions) → those of most significance = KAM.
- **Each KAM describes**: (a) why it's a KAM, (b) how addressed in audit, (c) reference to related disclosure.
- **"Not original source" rule**: auditor must not become original source of undisclosed entity info; encourage management to disclose instead.
- **Not a substitute**: does NOT replace a modification, going-concern section, or EOM. A matter causing a modification or going-concern material uncertainty IS by nature a KAM but is reported in its OWN section (not

KAM), with cross-reference. On a **disclaimer**, NO KAM at all. If a listed entity genuinely has NO KAM, must STATE so under the heading (can't drop the section).

Companies Act s.143 & CARO 2020

- **s.143(1) — inquiry duties** (report BY EXCEPTION, only if adverse): whether loans on security properly secured & terms not prejudicial; book entries prejudicial; personal expenses charged to revenue; investments sold below cost, etc.
- **s.143(2)-(3) — report MUST state:** all info/explanations obtained; **proper books** kept; branch report received; BS & P&L **agree with books**; FS **comply with AS**; observations with adverse effect; any **director disqualified** u/s 164(2); **adequate IFC with reference to FS** and operating effectiveness (IFC report); qualifications/reservations.
- **s.143(12) — fraud reporting:** fraud by officers/employees **against the company** ≥ ₹1 crore (*verify*) → **Central Government** in Form **ADT-4** (route: report to Board/Audit Committee for reply → forward report + reply to CG within prescribed window). Below threshold → **Audit Committee/Board** + disclosed in Board's Report. Good-faith reporting is protected. Extends to cost/secretarial/branch auditors.
- **CARO 2020** — issued u/s **143(11)**, separate annex, **21 clauses**. Excludes banking, insurance, s.8, OPC, small companies, and certain private companies below specified thresholds (*verify limits*). Key clauses: (i) PPE & intangibles (records, physical verification, **title deeds in company name**, benami); (ii) Inventory + working-capital limits >₹5cr & quarterly returns agree with books; (iii) Investments/loans/guarantees, related-party terms, overdue, evergreening; (iv) s.185/186; (v) Deposits s.73-76; (vi) Cost records s.148(1); (vii) Statutory dues (PF/ESI/GST etc., undisputed >6 months, disputed with forum); (viii) Unrecorded income surrendered in IT assessment; (ix) Default in loan repayment, wilful defaulter, end-use, short-term funds for long-term; (x) IPO/FPO & preferential allotment end-use; (xi) **Fraud** noticed/reported, ADT-4, whistle-blower; (xii) Nidhi; (xiii) **Related-party** s.177/188; (xiv) **Internal audit** system; (xv) Non-cash transactions with directors s.192; (xvi) s.45-IA RBI (NBFC/CIC); (xvii) Cash losses; (xviii) **Resignation of statutory auditors**; (xix) Material uncertainty on meeting liabilities within 1 year (ratios/ageing); (xx) Unspent **CSR** transfer s.135; (xxi) Qualifications in CARO of **consolidated** components. Unfavourable clause → state reasons; unable to opine → state fact with reasons. CARO remark does NOT auto-qualify main opinion (auditor separately considers).

s.143(3)(i) — IFC Reporting

- Report whether company has **adequate internal financial controls with reference to FS (IFCoFR)** and their **operating effectiveness**. Guided by ICAI Guidance Note. Separate **annexure**; own opinion (unmodified/qualified/adverse/disclaimer).
- **Scope trap:** directors' responsibility (s.134) covers BROAD IFC (orderly business, asset safeguarding, fraud prevention, records, reliable info); auditor's s.143(3)(i) report is on NARROWER **IFCoFR** (financial-reporting subset only).
- **Severity ladder (SA 265):** control deficiency → significant deficiency (merits TCWG attention) → **material weakness** (reasonable possibility a MATERIAL misstatement won't be prevented/detected timely). Only a **material weakness** modifies the IFC opinion; significant deficiency only communicated to TCWG.
- **Exemption:** certain private companies (MCA notification 13 June 2017: OPC/small, OR turnover < ₹50cr AND borrowings < ₹25cr) exempt from reporting on operating effectiveness (*verify thresholds*).

Exam traps & must-remember

1. **Adverse vs Disclaimer:** Adverse = disagreement + pervasive ("it's wrong"). Disclaimer = inability + pervasive ("I can't tell"). Identify **reason FIRST**, then extent.
2. **Qualified answers BOTH reasons** when material-but-isolated (scope-isolated ≠ disclaimer).
3. **Material ≠ Pervasive** — pervasive has 3-limb definition; name the limb.
4. **"Effects" vs "possible effects"** — disagreement vs scope; marks awarded on this word.
5. **EOM does NOT modify opinion**; requires matter ALREADY disclosed (if should-be-disclosed-but-isn't → misstatement → modify).
6. **EOM (inside FS) vs OM (outside FS)**. Predecessor auditor = **OM**.
7. **KAM ≠ modification/substitute**; modification matter goes in own section; no KAM on disclaimer; if none, STATE so.
8. **KAM only mandatory for listed entities** — no numeric threshold.

9. **CARO remark ≠ auto-qualification**; every unfavourable clause needs reasons.
10. **IFC opinion separate** from FS opinion (clean FS + adverse IFC possible); only IFCoFR scope.
11. **Significant deficiency ≠ material weakness** — only material weakness modifies IFC opinion.
12. **Report date** not before evidence + board approval; signature needs **FRN, membership no., UDIN**.
13. **Opinion paragraph comes FIRST** (before Basis) in revised SA 700.
14. **Going concern has its own home**: adequate disclosure → "Material Uncertainty Related to Going Concern" section (SA 570), NOT EOM; inadequate disclosure → modify (qualified/adverse); wrong basis (liquidation) → **adverse**.
15. **s.143(1) is report-by-exception** vs always-state s.143(3).
16. **Fraud** ≥ ₹1cr (*verify*) → CG via ADT-4; below → Audit Committee/Board; only fraud by officers/employees against company; good-faith protected.
17. **Aggregate before deciding** (SA 450) — several isolated errors can jointly become pervasive → adverse.

One-line recall

- Reason (disagreement vs inability) × Extent (material-not-pervasive vs material-and-pervasive) → opinion; it's a 2×2 coordinate, never a 1×4 ladder.
- Adverse ← only disagreement; Disclaimer ← only inability; Qualified serves both when isolated.
- "Effects" = disagreement qualification; "possible effects" = scope qualification.
- Pervasive = not confined / substantial proportion / fundamental to understanding — name the limb.
- SA 700 order: Title → Addressee → **Opinion first** → Basis → [GC] → KAM → Responsibilities → Auditor's Responsibilities → Other Reporting → Signature (FRN/M.No./UDIN) → Place & Date.
- Indian bolt-ons: CARO 2020 (21 clauses, s.143(11)) + IFC (s.143(3)(i), material weakness modifies) + fraud (s.143(12), ADT-4).

Chapter 10 — Audit Documentation & Quality Control (Revision Note)

Snapshot

Four pillars answering "who audits the auditor?":

- SA 230 — Audit Documentation (engagement): make invisible work visible/provable.
- SA 220 — Quality Control for an Audit of FS (engagement): partner responsible for quality on *this* audit.
- SQC 1 — Quality Control for Firms (firm level): system giving *reasonable* assurance across *all* engagements (six elements).
- EQCR — Engagement Quality Control Review: independent objective review of significant judgements before the report is dated.

Numbers from the **date of the auditor's report**: assembly ≤ 60 days; retention ≥ 7 years.

Core concepts

- **Documentation = the evidence; quality control = the process the evidence must show was good.** One proves *that* you worked; the other proves the work was worth trusting.
- Documentation is a *contemporaneous act* (a verb), not filing after the audit; the audit file is the residue.
- Two levels of QC because risks differ: an engagement can fail (SA 220) or a firm can systematically fail (SQC 1). One level cannot fix the other.
- EQCR exists to break **self-review bias** — the partner who made a tough call is worst-placed to spot its flaw.
- "Prove it" matrix: *that* work done → SA 230; *this* engagement good → SA 220; *every* engagement good → SQC 1; *high-stakes* opinion independently checked → EQCR.

Key provisions / SAs

SA 230 — Audit Documentation

- **Definition:** record of (a) audit procedures performed, (b) relevant audit evidence obtained, (c) conclusions reached. Old term "working papers"; whole = **audit file** (one/more folders or storage media, **physical or electronic**, for a *specific* engagement).
- **Benchmark of "enough":** documentation sufficient to enable an **experienced auditor, having no previous connection with the audit, to understand:** (a) **nature, timing and extent** of procedures performed; (b) **results** of procedures and audit evidence obtained; (c) **significant matters** arising, **conclusions** reached, and **significant professional judgements** made.
- **"Experienced auditor"** = individual (internal or external) with **practical audit experience** and **reasonable understanding** of audit processes, the SAs and legal/regulatory requirements, the entity's business environment, and industry-specific reporting issues. Skilled but disconnected → file supplies what is *specific to this engagement*, not generic knowledge.
- **Identifiability rule — record:** who **performed** the work + **date completed**; who **reviewed** + **date** + **extent** of review.
- **Identifying characteristics** of items tested must be recorded (e.g., PO numbers + range; systematic sample source, starting point, interval; inquiry date/name/designation; observation process/date/person). Enables re-performance/trace-back.
- **Significant matters:** document discussions with management/TCWG/others incl. *when* and *with whom*. Examples: matters giving rise to significant risks; results indicating possible material misstatement or need to revise risk assessment; significant difficulty applying procedures; findings that could lead to modified opinion or EOM.
- **Oral explanations** by the auditor alone are **not** adequate support — but **may** clarify/explain info already in the documentation. Cannot *substitute*, only *illuminate*.
- **Departure from a relevant SA requirement** (exceptional circumstances): document **how alternative procedures achieve the aim** of that requirement **and reasons for departure**. A *conditional* requirement whose condition is

absent is simply inapplicable — no "departure" documentation.

- **Matters arising after the report date** (new/additional procedures or new conclusions): document circumstances, new procedures/evidence/conclusions, and **when and by whom** file changes were made and reviewed. Anti-backdating. Links to SA 560.
- **Assembly of final file:** on a timely basis after report date; **ordinarily not more than 60 days** (per SQC 1). Administrative only.
- **Permissible in assembly window:** delete/discard superseded documentation; sort, collate, cross-reference; sign off assembly completion checklists; document evidence obtained, discussed and agreed with team **before the report date**. **Not permissible:** new procedures, new conclusions, fresh evidence on unresolved matters. Bright line = **report date**, not the 60-day date.
- After assembly, **must not delete/discard** documentation before retention period ends.
- **Retention:** ordinarily **no shorter than 7 years** from the date of the auditor's report (or later, the group auditor's report date).
- **Ownership:** working papers are the **property of the auditor**, not the client (even though client pays fee). Auditor may share portions/extracts at discretion (courtesy, not a right). Owes **confidentiality + safe custody**.
- **Form/contents/extent** driven by professional judgement: size/complexity of entity, nature of procedures, identified RoMM, significance of evidence, nature/extent of exceptions, need to document a conclusion not readily determinable. Meet the benchmark — no more, no less.
- **Need NOT document:** every matter/judgement (only significant ones); need not retain superseded drafts, preliminary/incomplete notes, duplicates, copies corrected for typos.

SA 220 — Quality Control for an Audit of FS (Engagement)

- Sits *inside* SQC 1. **Engagement partner responsible for overall quality** and must take the lead.
- **Reliance principle:** partner generally **entitled to rely** on the firm's SQC 1 system **unless information indicates otherwise**. Partner's responsibilities:
- **Leadership** on quality (not delegated away).
- **Ethics incl. independence** — remain alert throughout; form a conclusion on independence (threats, safeguards, firm info).
- **Acceptance/continuance** — satisfied appropriate procedures followed and conclusions appropriate; if info would have caused firm to decline, communicate promptly to firm.
- **Assignment of team** — team (incl. auditor's experts not on team) collectively has **competence and capabilities**.
- **Engagement performance** — direction, supervision, review; **more experienced review less experienced**. Partner need not review all documentation but reviews significant judgements, significant risks and other important matters on a timely basis.
- **Consultation** on difficult/contentious matters — happened, **agreed** with party consulted, and **implemented** (two-part test).
- **EQCR** — for listed entities (+ firm-decided); discuss significant matters with reviewer; **do not date report until EQCR complete**.
- **Differences of opinion** — resolve per firm policy; **report not dated until resolved**.
- **Monitoring** — consider firm's monitoring results/deficiencies and effect on this engagement.
- **Documentation** — ethics issues + resolution; independence conclusion; acceptance/continuance conclusions; nature/scope/conclusions of consultations.

SQC 1 — Quality Control for Firms

Applies to firms performing audits, reviews of historical financial info, other assurance & related services. Objective: system of QC giving **reasonable assurance** that (a) firm/personnel comply with standards + legal/regulatory requirements, and (b) reports issued are appropriate. Reasonable, **not absolute** (mirrors SA 200 inherent limitations). **Six elements:**

1. **Leadership responsibilities** (tone at the top) — commercial considerations must **not override** quality of work.
2. **Ethical requirements** (integrity, objectivity, professional competence, confidentiality, professional behaviour) incl. **independence** — obtain **written independence confirmation at least annually** from relevant personnel; address **familiarity threats** from long association via safeguards incl. **rotation**.

3. **Acceptance & continuance** of client relationships and specific engagements.
 4. **Human resources** — recruitment, competence, career development, capabilities, performance evaluation, assignment of teams.
 5. **Engagement performance** — houses documentation, supervision, review, consultation, EQCR, differences of opinion, **assembly (≤60 days)**, **retention (≥7 years)**, and custody attributes: **confidentiality, safe custody, integrity, accessibility, retrievability**.
 6. **Monitoring** — ongoing evaluation of the system incl. **cyclical inspection of at least one completed engagement per engagement partner**. Deficiencies **evaluated** (isolated vs systemic/repetitive/significant) and **communicated** to relevant partners with remedial recommendations. Includes **complaints and allegations** channel.
- Firm must also **document the system itself** (policies/procedures + evidence of operation of each element).

EQCR

- **What:** objective evaluation, by a reviewer **not part of the engagement team**, of significant judgements and conclusions in formulating the report. Reviewer = partner, other firm person, suitably qualified external person, or team, with sufficient experience/authority and required objectivity.
- **When mandatory:** all audits of **listed entities**; plus other engagements meeting firm's criteria (high public interest, unusual risk/nature/circumstances).
- **Reviewer evaluates:** significant judgements; conclusions (esp. appropriateness of report); significant matters discussed with partner; review of FS and proposed report; selected working papers on significant judgements; conclusion on independence.
- **Objectivity safeguards:** not selected by engagement partner in a way that compromises objectivity; does not participate in the engagement during the period under review; does **not make decisions** for the team; partner may consult reviewer but consultation must **not compromise** eligibility.
- **Timing (key control):** engagement partner **must not date the report until EQCR is complete**.
- EQCR is a check on, **not a replacement for**, the partner's own review; partner remains responsible for the opinion.

Exam traps & must-remember

- **60 days (assembly) vs 7 years (retention)** — never confuse. Both run from the **report date**.
- Count everything from the **report date**, not year-end or destruction date.
- **Assembly = administrative** (collate/sort/discard superseded drafts). New procedures in the 60-day window are NOT assembly — trigger the after-report-date rule.
- Benchmark exact wording: "**experienced auditor, having no previous connection with the audit**" + all three limbs (nature/timing/extent + results + significant matters/conclusions/judgements). "Any reader" loses marks.
- Experienced auditor is **skilled, not ignorant** — over-documentation is a fault.
- **Oral explanation** can clarify, never substitute for documentation.
- "Document everything" is **FALSE** — only significant matters/judgements; superseded drafts need not be retained.
- **EQCR not for every audit** — only listed + firm-defined high-risk.
- EQCR timing rule **absolute** — report date cannot precede EQCR completion for a listed entity.
- **EQCR does not shift responsibility** — reviewer evaluates; partner remains responsible.
- **Consulting the intended reviewer** heavily on a significant judgement **disqualifies** them (recreates self-review bias).
- **SA 220 (engagement) vs SQC 1 (firm)** — firm policies (recruitment, monitoring, tone at top, retention policy) = SQC 1; this engagement/partner/team = SA 220.
- **Ownership** — working papers belong to the **auditor**, not the client, even though client pays.
- **Departure from an SA** allowed in exceptional circumstances *if documented* (how alternative met aim + reasons); undocumented departure is the sin. Conditional requirement whose condition is absent = inapplicable, not a departure.
- **Monitoring frequency:** at least one completed engagement per engagement partner, cyclical.
- **A monitoring deficiency ≠ a wrong report** — evaluate isolated vs systemic first.

- SQC 1 gives **reasonable, not absolute** assurance — an occasional deficient engagement doesn't prove system failure.
- Independence confirmations **at least annually** — not "whenever convenient".
- (Confirm in current ICAI material: exact interaction of 7-year retention with Companies Act 2013 record-retention; any migration to SQM 1 / SQM 2 / SA 220 (Revised).)

One-line recall

- SA 230: record procedures + evidence + conclusions so an **experienced auditor with no previous connection** understands nature/timing/extent, results, and significant matters/judgements.
- SA 220: **engagement partner responsible** for quality — leadership, independence conclusion, competent team, supervision/review, consultation (agreed + implemented), EQCR, resolve differences before dating.
- SQC 1: six elements — **Leadership, Ethics/Independence, Acceptance & Continuance, HR, Engagement Performance, Monitoring** — reasonable assurance across all engagements.
- Numbers from **report date**: assemble ≤ 60 days (admin only); retain ≥ 7 years (confidentiality, safe custody, integrity, accessibility, retrievability); annual independence confirmations; monitoring ≥ 1 completed engagement per partner.
- EQCR: independent reviewer (not on team) for **listed** + high-risk; report **not dated until EQCR complete**; reviewer evaluates, partner decides.
- Working papers are the **auditor's property**; post-report changes documented in the open, never silently rewritten.

Chapter 11 — Professional Ethics & Independence (Revision)

Snapshot

An audit opinion is a **paid** opinion relied on by **outsiders who cannot verify it** (agency problem / information asymmetry). It has value only if the author is **independent** (in fact + appearance) and bound by **enforceable principles** stronger than self-interest. Credibility is a *shared reputational asset* — one bad audit poisons trust in all (tragedy of the commons), so the **profession**, not conscience, enforces ethics. Scaffolding: **principles → threats → safeguards → outright legal prohibitions**.

Core concepts

Governing instruments

- **ICAI Code of Ethics** (based on IESBA Code) — principles, conceptual framework, threats & safeguards, independence for assurance. Organised in 3 parts: **Part A** (fundamental principles + framework — all members), **Part B** (members in practice), **Part C** (members in service).
- **CA Act, 1949 — Schedules I & II** — "professional misconduct"; gives the Code legal teeth.
- **SA 200** — requires compliance with relevant ethical requirements *including independence* (precondition of any audit).
- **SQC 1 / SA 220** — firm-level & engagement-level quality control incl. independence procedures.
- **Companies Act, 2013 — ss. 141, 144, 139(2)** — eligibility/disqualification, prohibited services, rotation.
- One line: *SA 200 says "comply"; the Code says "what"; the CA Act and Companies Act make some legally binding with penalties.*

Independence — two forms (assurance engagements only; NOT a fundamental principle — a separate additional requirement):

- **Independence of mind (in fact)** — actual unbiased state permitting a conclusion without bias/conflict/undue influence; integrity, objectivity, scepticism.
- **Independence in appearance** — avoiding circumstances so significant a **reasonable and informed third party** would conclude objectivity was compromised. *Reasonable* (sensible, not paranoid/naive), *informed* (knows facts + safeguards), *third party* (outsider). Appearance converts an unverifiable question ("is he objective?") into a verifiable one ("does he hold shares? is his relative a director?").
- **Period & scope:** must hold across BOTH the *engagement period* AND the *period covered by the FS* (a share sold day before signing does not cleanse a year of holding). Extends to the **firm, network firm, and engagement team members** (incl. their immediate family) — not just the signing partner.

Objectivity vs Independence (exam axis): objectivity = *state of mind*, required in **every** service (tax, consulting, audit); independence = *set of circumstances/relationships*, required only for **assurance** where an external user relies. A tax adviser must be objective, need not be independent; an auditor must be both.

Five Fundamental Principles (I-O-C-C-P) — bind every CA (practice or service):

- **Integrity** — straightforward & honest; fair dealing, truthfulness. Breached by *knowing association* with false/misleading/recklessly-made statements or omissions — reckless indifference = want of integrity. Cure: disassociate; insist on correction; if refused, withdraw.
- **Objectivity** — no bias, conflict of interest, or undue influence overriding judgement. Broadest principle; governs even where no assurance (e.g., advising two competing clients).
- **Professional Competence & Due Care** — two limbs: **attainment** + **maintenance** (CPE). Act diligently per standards. Make clients aware of limitations; decline/seek help beyond competence. Failure occurs at *acceptance*.
- **Confidentiality** — don't **disclose** and don't **use** client info (e.g., insider trading). Continues **after** relationship ends; extends to family/social settings; supervisory duty over staff/outside advisers. Permitted/required disclosures: (i) permitted by law + client-authorised; (ii) required by law (legal proceedings, disclosing

infringements); (iii) professional duty/right (peer/quality review, ICAI investigation, self-defence in litigation, technical/ethical standards). Even permitted disclosure needs judgement (facts substantiated, audience, legal liability).

- **Professional Behaviour** — comply with laws; avoid conduct discrediting the profession. Covers advertising/solicitation restrictions (no soliciting by advertising; no disparaging/exaggerated claims). *Principle of no-solicitation endures even as boundaries liberalise.*

Five Threats (classify by psychological mechanism — complete by construction):

- **Self-interest** — auditor gains from an outcome. E.g., shares/loan in client, **fee dependence**, contingent fee, close business relationship, job offer from client.
- **Self-review** — judging own prior work. E.g., firm keeps books / prepared FS / did valuation, actuarial, IFC design, then audits it; former firm member now a director.
- **Advocacy** — promoting/championing client's position. E.g., representing client in litigation/tax dispute against a third party or authority; promoting/underwriting client shares.
- **Familiarity** — too close/trusting, dulling scepticism. E.g., relative in key position at client, long association (→ partner rotation), former partner now KMP, significant gifts/hospitality.
- **Intimidation** — deterred by actual/perceived pressure. E.g., threat of dismissal/non-reappointment over a disagreement, threat of litigation, pressure to cut work/fees, dominant client.
- *One fact can trigger multiple threats — always scan all five.*

"No management responsibility" — auditor must never assume management responsibility (authorising transactions, taking decisions, designing/implementing controls) for an audit client → purest self-review + loss of independence. Conceptual root beneath the s.144 list; use it to judge novel unlisted services.

Safeguards — action reducing a threat to an **acceptable level** (level at which a reasonable & informed third party would conclude principles not compromised). Two sources:

- **(A) Profession/legislation/regulation** — entry education/training/experience, CPE, professional standards, monitoring & discipline, external review by a legally empowered third party.
- **(B) Firm's own systems** — firm-wide (leadership tone, SQC 1 policies, documented independence policies, rotation of senior personnel, discipline) and engagement-specific (**EQCR** not on team, rotate engagement partner, separate partners/teams for non-assurance, consult ICAI).
- **NOT safeguards:** (i) **management's own assurances** (audited party can't certify itself); (ii) a **bigger fee** or the **client's importance** (worsens self-interest). Revised Code is sceptical of "client-side" safeguards — prefers *removing the circumstance*.
- Safeguards **scale with severity**: trivial → routine policies; moderate → EQCR/separate teams; severe (partner's spouse is CFO, 40%+ fee dependence) → often un-safeguardable → remove person / exit.
- **If no safeguard brings the threat to an acceptable level → remove circumstance / decline / resign.** No "manage it and hope." Revised Code verb: *threats must be addressed* (often by eliminating the circumstance), not merely "safeguards applied."

Key provisions (CA Act Schedules + Companies Act sections)

Companies Act, 2013 — the legal backstop (test FIRST):

s. 141 — Eligibility / disqualifications of auditor. Not eligible if:

- a **body corporate** (except LLP); an **officer/employee** of the company; a **partner/employee of an officer/employee**;
- a person (or partner/relative) holding **any security or interest** — auditor & firm bar is **absolute (not even one share)**; relatives may hold up to prescribed face value (*historically ₹1,00,000 — verify*), with a corrective window (*historically 60 days*) if exceeded; "interest" read widely (not just equity) [self-interest];
- indebted beyond prescribed amount, or gave guarantee for a third party's debt beyond limit [self-interest/intimidation];

- a **business relationship** (beyond exceptions) [self-interest];
- a person whose **relative is a director or KMP** [familiarity — flat bar];
- in **full-time employment elsewhere**, or holding audits of **more than 20 companies** (ceiling; carve-outs: OPC, dormant, small, certain private cos — *verify*; count generally **per partner** for a firm);
- convicted of **fraud in last 10 years** [professional behaviour];
- directly/indirectly renders a **s.144 prohibited service**.

s. 144 — Auditor not to render certain services (to the company, its holding & subsidiary, **directly or indirectly** incl. via network/relative): accounting & book-keeping; internal audit; design & implementation of any **financial information system**; actuarial; investment advisory; investment banking; outsourced financial services; management services; any other prescribed service. Map: bookkeeping/internal audit/system design = self-review; investment banking/advisory = advocacy/self-interest. **NOT barred**: statutory audit, **tax representation**, and certification not on the list (so "can auditor file the tax return?" → generally *yes*).

s. 139(2) — Rotation (listed cos + prescribed classes; familiarity threat capped by statute): individual auditor **one term of 5 consecutive years**; audit firm **two terms of 5 (max 10)**, then **5-year cooling-off**. Anti-circumvention: cooling-off catches a **different firm with common partners** and firms under the **same network**; outgoing firm/associates barred for cooling period. Distinct from *partner* rotation (a Code safeguard, broader than statute).

CA Act, 1949 — disciplinary consequence. Conduct within the **First & Second Schedules** = **professional misconduct**, tried by ICAI's Board of Discipline / Disciplinary Committee; penalties up to **removal of name from the Register** + fines.

- **First Schedule = LESS grave → Board of Discipline** (reprimand, removal up to a limited period, capped fine).
 - Part I — professional misconduct, members **in practice** (clauses 1–12).
 - Part II — professional misconduct, members **in service**.
 - Part III — professional misconduct, members **generally**.
 - Part IV — **other misconduct**.
- **Second Schedule = MORE grave → Disciplinary Committee** (heaviest penalties incl. removal permanently or for a longer period + higher fine).
 - Part I — professional misconduct, members **in practice** (clauses 1–10).
 - Part II — professional misconduct, members **generally**.
 - Part III — **other misconduct**.
- Two classic Second-Schedule items tie to this chapter: "**grossly negligent in conduct of professional duties**" (= competence/due-care failure) and "**discloses information acquired in the course of professional engagement without consent**" (= confidentiality breach). *Name schedule + underlying principle for marks. Verify exact penalty amounts and clause allocations.*

Fees (threat hiding in plain sight):

- **Fee dependence / undue proportion** — one client too large a share → self-interest (keep it) + intimidation (fear of loss); heightened if fees *overdue* or client a *public interest entity*. *Verify if Code specifies a % trigger.*
- **Contingent fees** (dependent on outcome/result) — **prohibited for assurance**. Not "contingent" if fixed by court/authority; percentage-based fees traditionally restricted under CA Act misconduct schedules (*verify current permitted bases*).
- **Overdue fees** — function like a loan (unsecured creditor dependent on client) → self-interest; collect before issuing current report.
- **Lowballing / low fees** — a **professional competence & due care** threat (risk of cutting corners), not primarily self-interest; not misconduct per se but work must still meet standard.

Standards linkage: SA 200 (comply w/ ethics incl. independence); SQC 1 (firm-level policies & monitoring); SA 220 (engagement partner forms conclusion on independence); SQC 1/SA 220 (document threats, safeguards, conclusions); SA 220/firm policy (written independence confirmations from team). [SQC 1 being superseded globally by SQM standards — *verify ICAI timing*.]

Exam traps & must-remember

- **"He's honest, so it's fine."** No — *appearance* is an independent requirement; reasonable third party's doubt fails independence regardless of actual integrity.
- **Don't call independence a fundamental principle** — it's a separate additional requirement, assurance only.
- **Only spotting one threat** — fee dependence + client pressure = self-interest AND intimidation; bookkeeping-then-audit = self-review (+ often self-interest). Scan all five.
- **Assuming safeguards fix anything** — s.141 disqualifications, s.144 prohibited services, contingent assurance fees admit **NO** safeguard → decline/resign.
- **Designing safeguards before checking the legal bar** — test permissibility (ss.141/144/139) FIRST; jumping to an EQCR reveals you missed a flat statutory bar.
- **Confidentiality = only "don't disclose"** — also forbids **using** info, continues **after** engagement, has **exceptions** (required by law, professional duty/right); a permitted disclosure still needs judgement (don't over-disclose).
- **Advocacy vs self-review** — decided by the *activity*: *argued the case before authority/tribunal* = advocacy; *computed/filed the return you now audit* = self-review. Same tax, different threat.
- **Self-interest vs intimidation (fees)** — wanting to *keep* client = self-interest; being *threatened* with loss = intimidation; one CFO sentence = both.
- **"Safeguard" that isn't** — management's assurances, bigger fee, client's importance are NOT safeguards.
- **Relative shareholding is not zero** — auditor/firm hold **none**; relatives up to prescribed face-value limit with corrective window if exceeded. A **relative as director/KMP** = flat disqualification.
- **Miscounting the audit ceiling** — exclude exempt classes (small/OPC/dormant/certain private — *verify*) BEFORE counting against 20; count generally per partner for a firm.
- **Ignoring the independence period** — must hold across the whole FS period audited, not just at signing.
- **Restricting perimeter to signing partner** — firm, network firm, team members' immediate family also count.
- **Assuming all tax work is banned** — s.144 does NOT bar tax representation or certification.
- **Forgetting enforcement** — breach = professional misconduct under CA Act Schedules; state the schedule (First = less grave/Board of Discipline; Second = grave/Disciplinary Committee).

Answer skeleton: Identify threat(s) → evaluate significance (+ reasonable & informed third-party test) → **check legal bar first (ss.141/144/139)** → apply safeguards → re-assess → remove/decline/resign if unacceptable → document + obtain written independence confirmations. *In writing, put the legal-bar step BEFORE the safeguards discussion whenever facts smell of s.141/144/139.*

One-line recall

- Audit value = **independent (fact + appearance) + enforceable principles**; credibility is a shared asset the *profession* polices.
- Five principles (I-O-C-C-P) bind **every** CA; **independence** binds only **assurance** — objectivity is internal/universal, independence is external/assurance-specific.
- Five threats = **self-interest, self-review, advocacy, familiarity, intimidation** — classify by mechanism; often more than one.
- Safeguards scale with severity; management assurances / bigger fee / client importance are NOT safeguards; if none suffices → **remove / decline / resign**.
- Test statute FIRST: **s.141** (disqualifications), **s.144** (prohibited services, direct/indirect, not tax), **s.139(2)** (rotation 5 / 2×5+10, 5-yr cool-off).
- Breach = **professional misconduct** — **First Schedule** (less grave/Board of Discipline) vs **Second Schedule** (grave incl. gross negligence & confidentiality breach/Disciplinary Committee) → removal from Register + fine.
- *Verify all monetary thresholds, limits, % triggers, ceiling exclusions, penalties, and Code paragraph numbers against the latest ICAI Code, CA Act Schedules, and Companies (Audit & Auditors) Rules.*

Chapter 12 — Audit of Different Entities (Revision)

Snapshot

One audit framework, radically different entities. Audit approach = f(dominant risk, governing law, objective). SAs run underneath everything: SA 315/330 (risk & response), SA 500 (evidence), SA 530 (sampling), SA 620 (expert), SA 600 (another auditor), SA 610 (internal auditors), SA 210 (terms), SA 700/705/706 (report). Three-axis reflex: (1) how diffuse/vulnerable the principal → weight of regulatory overlay & second report; (2) lag to truth → verification vs estimation/expert; (3) public stake → truth alone vs truth + legality + propriety + performance.

Core concepts

- **Adaptation Principle:** audit shaped by (a) dominant business risk, (b) governing legal framework (appointment, powers, reporting duty), (c) objective (truth-and-fairness alone, or also propriety & efficiency).
- **"True and fair" is entity-relative:** bank → subject to RBI norms (NPA overrides accrual); insurer → subject to IRDAI formats + actuary; government → supplemented by "authority and propriety." Some engagements are certifications/limited reviews/additional reports, not full reasonable-assurance audits.
- **Agency problem:** audit matches whose money is at risk. Diffuse public principals (depositors, policyholders, taxpayers) → regulator inserted as super-principal + third-party reporting duty. Private principals (partners, proprietor) → contractual audit only.
- **Estimation-heavy entities get an expert layer:** actuary *makes* the estimate; auditor *evaluates the estimator* (SA 620) — never recomputes.

Key provisions / SAs (entity + statute + key requirement)

Banks — BR Act 1949 / RBI. Appointment needs **RBI approval** (not plain Sec 139). Dominant risk = credit risk (bad loans overstated). Audit pyramid: **Statutory Central Auditors (SCAs)** sign consolidated FS; **Branch auditors** submit report + branch LFAR, relied on via **SA 600**; **Concurrent/internal auditors** relied on via SA 315/**SA 610**. Focus:

- **Advances** classified per **IRAC norms** → Standard / Sub-Standard / Doubtful (D1/D2/D3) / Loss; provisioning rises up the ladder. NPA trigger ≈ **90 days overdue** (term loan); "out of order" for CC/OD.
- **No income on NPA except on realisation** (not accrual).
- **Doubtful provisioning splits secured vs unsecured** on *realisable* (not book) security value; unsecured portion → 100% provision.
- **LFAR** in RBI-prescribed questionnaire; income leakage; restructured/evergreened accounts; investments (HTM/AFS/HFT); CRAR; CBS/computerised-environment audit. (*Confirm exact provisioning % and ageing bands vs RBI Master Directions.*)

Insurance — Insurance Act 1938 / IRDAI. Often joint auditors. Dominant risk = **under-reserving** of future liabilities. Focus:

- **Actuarial valuation** by **Appointed Actuary**, relied on via **SA 620** (evaluate competence, objectivity, reasonableness of assumptions — do NOT redo maths).
- **Life** = long-dated actuarial policy reserve. **General** = **UPR (Unearned Premium Reserve)** + claims reserves **IBNR / IBNER**.
- Premium recognition (when due); claims incurred/outstanding; **reinsurance** (only *valid, collectible* netted off); IRDAI investment norms; **solvency margin** (auditor checks computation); **commission & management-expense caps** under the Act (breach reportable).
- Segregate **policyholders' fund vs shareholders' fund**; IRDAI-prescribed formats (Revenue A/c, P&L, BS).

NBFC — RBI Act 1934 / RBI (+ Companies Act, Sec 139). Dominant risk = credit risk + registration/classification risk. Focus:

- Valid **Certificate of Registration**; **50-50 principal-business test** (financial assets ≥50% of total assets **AND** financial income ≥50% of gross income — both limbs).
- **Net Owned Fund (NOF)** minimum; shortfall reportable.

- **Scale-based regulation** — identify layer (Base/Middle/Upper/Top); norms differ by layer.
- Deposit-taking (NBFC-D) vs non-deposit (NBFC-ND); IRAC/prudential norms broadly parallel to banks.
- **NBFC Auditor's Report to Board/RBI** — additional report certifying registration, principal business, capital adequacy, NOF; **exception-reporting duty directly to RBI** (survives an unqualified SA 700 opinion).

Government audit — Constitution Arts 148–151 / C&AG (DPC) Act 1971. C&AG = constitutional authority; independence engineered (salary charged on Consolidated Fund, cannot be varied to disadvantage; removal like SC judge). Audits Union/States + govt companies via **Sec 143(5)–(7)** (direct manner, comment on/supplement company auditor's report, order test/supplementary audit). Three limbs:

- **Financial (regularity) audit** — true & fair + within sanction.
- **Propriety audit** — prudence, no waste/undue benefit. **Canons:** (a) expenditure not prima facie more than occasion demands; (b) no authority orders to own advantage; (c) no spending for a person/section unless justified; (d) allowances not a source of profit.
- **Performance audit** — **3 Es:** Economy (right quality, lowest cost), Efficiency (max output from inputs), Effectiveness (achieved objective). Can be economical + efficient yet ineffective. Reports → President/Governor → laid before Parliament/Legislature → examined by **Public Accounts Committee (PAC)**.

Cooperative societies — Cooperative Societies Act 1912 / State Coop Act (State subject); multi-State → MSCS Act 2002. Auditor appointed by Registrar (often from Registrar panel). Focus:

- Compliance with Act/Rules/bye-laws; **Reserve Fund** appropriation (commonly ≥25% of net profit — confirm); **cooperative education fund** contribution; **dividend ceiling**; **single-member shareholding limit**; permitted **investment modes**.
- **Overdue debts** — classify by period, assess recoverability & bad-debt reserve (special reporting requirement).
- **Audit classification / grading (A/B/C/D)** — unique to coop audit.
- Report goes to Registrar too; must comment on infringements + attach schedules Registrar requires.

NGO / Charitable Trust / Society. Form-dependent: **Trust** (Indian Trusts Act / State Public Trusts Act); **Society** (Societies Registration Act 1860); **Section 8 company** (Companies Act, Sec 139 audit). Tax: **Income-tax Act 12A/12AB** registration + **Form 10B** where income exceeds exemption limit. Foreign funds → **FCRA 2010** (designated account, separate audit). Dominant risk = funds not applied to object. Focus:

- **Application of income to object** — **~85% application test** (apply ≥85% of income to charitable objects in India; ≤15% accumulable; larger accumulation needs prescribed conditions/filings). (*Confirm % for AY.*)
- Donations completeness (cash/anonymous — **anonymous donations taxable beyond threshold**); **corpus donation = capital receipt** (not income); restricted/tied funds (fund accounting); grant-utilisation certificates.
- **FCRA:** foreign funds in designated account, **no commingling** (mixing itself is a violation).
- Investments in **Sec 11(5)** permitted modes (breach can cost exemption).
- Completeness of donations relies on *controls* (receipt-book, counterfoils) — inherent limitation on completeness of income.

LLP — LLP Act 2008. Audit mandatory **only if turnover > ₹40 lakh OR contribution > ₹25 lakh** (either triggers). Below both → no statutory audit (voluntary allowed). Focus:

- **LLP Agreement** (profit-sharing, contribution, rights/duties); if none → defaults in **Schedule I**.
- Partners' **contribution** incl. non-cash (valued/recorded per Agreement).
- **Designated partners** & filing duties; **Statement of Account & Solvency (Form 8)** + annual return (**Form 11**) with Registrar.
- Clear engagement letter (**SA 210**) if voluntary. (*Confirm thresholds/form numbers.*)

Sole proprietor. No statutory audit under general law. Any audit is voluntary/contractual or **Sec 44AB tax audit** (turnover/receipts over limit → **Form 3CB** [not otherwise audited] / **Form 3CA** [already audited under other law] + common **Form 3CD**). Focus:

- **Engagement letter (SA 210)** defines scope AND limits exposure (contract is the only source of duties).
- **Separation of personal & business** transactions (same legal person → test drawings, personal use of assets, personal expenses).

Partnership firm — Partnership Act 1932. No statutory audit; voluntary or **Sec 44AB**. Purpose often to resolve inter-partner suspicion. Focus:

- **Partnership Deed** = primary reference (profit ratios, interest, salary, admission/retirement).
- **No deed → Act defaults:** equal profit sharing; no interest on capital; no salary/remuneration; **6% p.a. on partner advances/loans beyond capital**.
- Remuneration/interest also capped for deductibility by **Sec 40(b)**; deed-allows ≠ tax-allows; **no deed → nil remuneration deductible**.
- Capital/current accounts; on constitution change → revaluation & goodwill in correct (old) ratio, post-change in new ratio.
- Confirm appointment by **all partners**; report addressed to partners. Registration optional (unregistered firm cannot sue to enforce contracts).

Exam traps & must-remember

- **NPA interest on accrual = wrong** — only on realisation. Watch evergreening (new loan services old) & restructured accounts dressed as standard.
- **Doubtful provisioning:** split secured/unsecured on *realisable* security — no single flat rate on whole balance.
- **LLP threshold is OR, not AND** (turnover >₹40L OR contribution >₹25L). Checking only turnover loses marks.
- **Government: "legally sanctioned" ≠ nothing to report** — propriety audit still comments on extravagance (canon: not more than occasion demands).
- **No blind reliance on actuary/expert** — SA 620 requires evaluating assumptions; certificate is not a shield → modify opinion (SA 705) if material.
- **Wrong appointing authority:** coop = **Registrar**; bank = **RBI approval**; not plain Sec 139.
- **Proprietor/firm: no statutory audit** exists — don't assert one.
- **Corpus vs general donation** — corpus is capital receipt; anonymous donations taxable beyond threshold.
- **Missing the 85% application test** for a trust (compute shortfall).
- **Coop reserve fund %** (commonly ≥25% — confirm); don't forget education fund + dividend ceiling.
- **NBFC 50-50 test needs both limbs**; identify layer + deposit vs non-deposit.
- **Regulator ≠ appointer** — RBI approves/regulates bank auditors but that differs from who appoints.
- **FCRA commingling** is itself a violation regardless of spend.
- **Two-report entities — don't write only SA 700 opinion:** Bank (+ **LFAR**), NBFC (+ **RBI report**), government company (+ **C&AG comments under Sec 143(5)-(7)**), Cooperative (+ **Registrar report + audit classification**).

Procedure sequence

SA 210 appointment/engagement check (correct statute/authority) → SA 315 understand entity & regulatory framework → SA 330 responses on the pressure point → SA 620 experts where technical → SA 500 evidence (+ SA 600 bank branches, SA 530 sampling high-volume) → entity-specific compliance → SA 700/705/706 opinion in prescribed format/addressee + special reports → SA 230 documentation showing entity-tailored risk assessment.

One-line recall

- Audit approach = f(dominant risk, governing law, objective) — derive all nine entities from this one equation.
- Bank = advances/IRAC/provisioning/LFAR (BR Act, RBI approval); no NPA income except on realisation; split secured/unsecured on realisable security.
- Insurer = under-reserving; rely-but-verify Appointed Actuary via SA 620; life = actuarial reserve, general = UPR + IBNR/IBNER (Insurance Act 1938, IRDAI).
- Government = Arts 148-151 + C&AG Act 1971; financial + propriety (canons) + performance (3 Es); PAC; Sec 143(5)-(7) for govt companies.

- Coop = Registrar-appointed, reserve fund/overdue debts/audit classification (State Coop Act / MSCS Act 2002);
NGO = ~85% application, Sec 12AB/Form 10B/FCRA.
- LLP audit if turnover >₹40L OR contribution >₹25L (LLP Act 2008); proprietor & firm = no statutory audit, only
Sec 44AB/contractual, deed/engagement letter (SA 210) is the compass.